UNIT 9 THE INDIAN CONTRACT ACT, 1872

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9.0 OBJECTIVES

In the earlier units you would have seen that a consumer either purchases goods from a seller or avails of services from a person or other body. When he is dissatisfied as a consumer he alleges defect in the goods or deficiency in the services. In either of these cases a contract is first arrived at between the consumer and the seller or the provider of services. It is necessary for you to know what is the law regulating the contracts. After going through this unit you will be able to know:

- The salient provisions of Indian Contract Act, 1872;
- The relationship this act establishes between trader or provider of services and the consumer; and
- Consequences of breach of contract

9.1 INTRODUCTION

The Indian Contract Act, 1872 seeks to define and amend certain parts of the law relating to contract. The first six chapters of the Act contain the general principles of the law of contract. The remaining chapters relate to particular contracts such as contracts of indemnity and

guarantee, bailment and agency. For our purposes it will be necessary to know the general principles of law of contract in order to understand the basic relationship between a consumer and a trader or provider of services.

9.2 DEFINITIONS

Section 2 of the Act provides following definitions:

"2. In this Act the following words and expressions are used in the following senses, unless a contrary intention appears from the context:

(a) When one person signifies to another his willingness to do or to abstain from doing anything, with a view to obtaining the assent of that other to such act or abstinence, he is said to make a proposal:

(b) When the person to whom the proposal is made signifies his assent thereto, the proposal is said to be accepted. A proposal, when accepted, becomes a promise:

(c) The person making the proposal is called the "promisor", and the person accepting the proposal is called the "promisee":

(d) When, at the desire of the promisor, the promisee or any other person has done or abstained from doing, or does or abstains from doing, or promises to do or to abstain from doing something, such act or abstinence or promise is called a consideration for the promise:

(e) Every promise and every set of promises, forming the consideration for each other, is an agreement :

(f) Promises which form the consideration or part of the consideration for each other are called reciprocal promises:

(g) An agreement not enforceable by law is said to be void :

(h) An agreement enforceable by law is a contract:

(i) An agreement which is enforceable by law at the option of one or more of the parties thereto, but not at the option of the other or others, is a voidable contract.

(j) a contract which ceases to be enforceable by law becomes void when it ceases to be enforceable."

"From the above you will see that a promise is performed when a promise is accepted by the promisee. The proposal made is an offer which is accepted by the promisee".

Definition of Consideration

Consideration is either a detriment or benefit to the other. An act done at the desire of a third party is not a consideration.

Agreement and Contract

An agreement which is enforceable in law is a contract. An agreement is a promise or a set of reciprocal promises.

Void Contract

A contract which is not enforceable by law is a void contract i.e. from its very inception it is illegal.

Voidable Contract

Voidable Contracts are those contracts which are brought about as a result of undue influence, coercion, fraud, misrepresentation and are voidable at the option of the person whose consent was caused by any one of the aforesaid factors.

Check Your Progress 1

Note: i) Use the place given below for your answers.

ii) Check your answers with model answers given at the end of the unit.

1) Distinguish between void contract and illegal contract.

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2) What is an agreement and when it becomes a contract?

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9.3 COMMUNICATION OF PROPOSALS AND ACCEPTANCE THEREOF

This consists of any act or omission of the party proposing, accepting or revoking by which he intends to communicate such proposal, acceptance or revocation or which has the effect of communicating it.

When Communication is Complete

Communication of a proposal is complete when it comes to the knowledge of the person to whom it is made and the communication of an acceptance is complete when the proposer puts it in the course of transmission so as to be out of the power of the acceptor. It is complete as against the acceptor when it comes to the knowledge or the proposer. So is the case with communication of a revocation.

9.3.1 Revocation of Proposal

This is brought about by communication of notice of revocation by the proposer to the other party at any time before the communication of its acceptance is complete as against the proposer but not afterwards. Acceptance can be revoked at any time before the communication of the acceptance is complete as against the acceptor, but not afterwards. It is also revoked by lapse of time prescribed or lapse of reasonable time without communication of acceptance. It is also caused by failure of the acceptor to fulfil a condition precedent to the acceptance or by the death or insanity of the proposer. Acceptance must be absolute and unqualified and be expressed in usual and reasonable manner. A proposal is accepted when a condition of the proposal is performed. Promises can be expressed in words or can be implied from conduct.

9.4 COMPETENCY TO CONTRACT

Every person is competent to contract if he is of the age of majority and is in sound mind and not disqualified by any law to which he is subject. When necessaries are supplied to a minor who is incapable of entering into a contract his estate is liable for the same though there is no personal liability incurred by him.

Sound Mind

For the purpose of making a contract if, at the time when he makes it, a person is capable of understanding it and is forming rational judgement as to its effect upon his interest, he is said to be of sound mind. A person who is occasionally of sound mind he can make a contract when he is of sound mind.

Consent

Two or more persons are said to consent freely when they agree upon the same thing in the same sense. It is free consent when it is not caused by coercion, undue influence, fraud, misrepresentation or mistake. Where both parties enter into an agreement under a mistake of fact essential to the agreement the agreement is void. But a contract is not voidable if it was caused by a mistake as to any law in force in India.

9.4.1 Lawful Consideration

The consideration or object of an agreement is lawful if it is not forbidden by law, if it does not defeat the provisions of law, if it is not fraudulent, if it involves or implies injury to the person or property of another or the court regards it as immoral or opposed to public policy. Any agreement without lawful consideration is void. The agreement also becomes void if any part of any consideration is unlawful. An agreement without consideration is void unless it is a registered document and is made on account of love and affection or is a promise to compensate for a voluntary act or is a promise to pay a debt that is barred by limitation.

9.4.2 Void Agreement

Every agreement which is in restraint of marriage of any person other than a minor is void. Every agreement by which any one is restrained from exercising a lawful professions trade or business of any kind is to that extent void. Any agreement restraining a party from enforcing his rights by legal proceedings in the ordinary tribunals or which limits the time within which he may thus enforce his right or extinguishes the rights of any party or discharging any party from his liability on the expiry of a specified period is void to that extent. An Agreement the meaning of which is not certain or capable of being made certain are void. Agreements by way of wager are void.

9.4.3 Contingent Contracts

A contingent contract is a contract to do or not to do something if some event collateral to such contract does or does not happen. Contingent contract to do or not to do anything if an uncertain future event happens cannot be enforced by law unless and until that event has happened. If the event becomes impossible the contract becomes enforceable. Such contract would also become void if it does not happen within the time fixed or becomes impossible before the time fixed. Contingent agreements dependent on impossible event are void.

Check Your Progress 2

Note: i) Use the place given below for your answers.

ii) Check your answers with model answers given at the end of the unit.

1) What are the essentials of a valid acceptance?

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2) What do you understand by capacity to contract?

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9.5 PERFORMANCE OF CONTRACTS

It is the obligation of the parties to a contract to perform their responsibilities and promises unless such performance is dispensed with or excused under any law. Promises bind the representatives of the promisors in case of death of such promisors before performance unless a contrary intention appears from the contract. Where the promisee does not accept the offer of performance, the promisor is not responsible for non performance nor does he thereby lose his rights under the contract. Where a party to a contract refuses to perform or disabled himself to perform his contracts the promisee may put an end to the contract unless he acquires(s) in it. Where a promisor agrees to perform his promise it shall be his obligation to perform the promise himself. In other cases a competent person may be employed by the promisor to perform his promise. When a promisee accepts performance of the promise from a third person, he cannot afterwards enforce it against the promisor. In the case of joint promises the liability devolves on the joint promisors who must fulfil the promises. Parties can compel any one of joint promisors to perform the whole of the promise. Release of one joint promisor by promisee does not discharge the other joint promisor who continue to be responsible to the other joint promisors.

9.5.1 Time and Place for Performance

Where no time for performance is specified, the engagement must be performed within a reasonable time. What is reasonable time and place is in each particular case a question of fact. Where no place is fixed for performance the promisor must apply to the promisee to appoint a reasonable place for performance of the promise. It may be performed in any manner or at any time which the promisee has prescribed or sanctioned.

9.5.2 Reciprocal Promises

When a contract consist of reciprocal promises to be simultaneously performed no promisor need perform his promise unless the promisee is ready and willing to perform his reciprocal promise. If these are to be performed in a particular order it will be necessary to perform in that order. When one party obstructs performance of the promise the contract becomes voidable at the option of the party so prevented and he is entitled to compensation from other party for any loss which he sustains as a consequence of the non performance of the contract. This will be the case even where there is default in performing the first promise to be performed. When a promise has to be performed by a specified time and is not performed, the contract becomes

voidable at the option of the promisee if the intention of the party was that time should be the essence of the contract. The promisee is entitled to compensation from the promisor for any loss occasioned to him for such failure. An agreement to do an act impossible in itself is void. It is void also where the act becomes impossible or unlawful subsequent to the contract and due to some reason which the promisor could not prevent. In the case of reciprocal promises an agreement to do certain things which are legal will constitute a contract but an agreement to do other things which are illegal are void. Only the legal branch of any alternative promises can be enforced.

9.5.3 Appropriation of Payments

Where a debtor indicates that a payment is to be applied to the discharge of certain particular debt, the payment is to be applied accordingly. Where this is not communicated, the creditor may apply it at his discretion to any lawful debt due and payable to him by the debtor. Otherwise payment shall be applied in discharge of the debts in order of time.

9.5.4 Contract which Need not be Performed

If the parties to a contract agree to substitute a new contract for it, or to rescind or alter it, the original contract need not be performed. The promisee may dispense with or remit performance of promise when a contract is rescinded and the other party need not perform any promise contained therein. The party rescinding a contract should refund any benefit received thereunder to the other party. When a contract becomes void, any advantage received by any party is bound to restore it or make compensation for it to the person from whom he received it. If any promisee neglects or refuses to provide reasonable facilities for the performance of his promise, the promisor is excused by such neglect or refusal as to any non-performance caused thereby.

9.6 QUASI CONTRACTS OR IMPLIED CONTRACTS

These are contracts which arise not from contract but from relations resembling those created by contracts. The contract does not come into existence on the basis of agreement between the parties but the obligations come into existence as a result of fiction of law or law presumes that there is a contract and courts do not take notice of the intention of the parties or their agreement. In this kind of contract the idea is to prevent unjust enrichment of one of the parties and the liability of the parties arise by a contract that is implied by law.

For example, if a person who is a lunatic or minor and therefore incapable of entering into a contract is supplied necessaries suitable to his condition in life, the person who furnished such supplies is entitled to be reimbursed from the property of such incapable person.

If a person is interested in the payment of money which another person is bound to pay by law and if this first person pays such money, he is entitled to be reimbursed by the other. For example, a lessee may be compelled to pay revenue payable to the Government which the lessor has not paid in order that the lease may not be cancelled. If such revenue is paid by the lessee he has a right to be reimbursed by the lessor.

Where a person lawfully does anything for another person or delivers anything to him not intending to do so gratuitously and such other person enjoys the benefit of the same, the latter is bound to make compensation to the former. For example, a trader leaves some goods at his friend's house by mistake. The friend cannot treat the goods as his own and he has to pay for the same to the trader.

If a person finds goods belonging to another person and takes them into his custody, he is subject to the responsibility of a bailee. Similarly, a person to whom money has been paid or anything delivered by mistake or under coercion has the responsibility to repay the money or return the goods.

Check Your Progress 3

Note: i) Use the place given below for your answers.

ii) Check your answers with model answers given at the end of the unit.

1) What do you know about performance of contracts?

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2) What are quasi contracts?

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9.7 BREACH OF CONTRACT

Whenever a contract is broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract all compensation for any loss or damage caused to him thereby as a result of such breach and which arose in the usual course of things or the parties knew when they made the contract that such loss is going to result from such breach of the contract. Such compensation is not to be given for any remote or indirect loss or damage sustained. This principle would hold good even where there has been breach of quasi contract or implied contract. In estimating the loss or damage arising from a contract it has to be taken into account as to what means were available to the other party of remedying the inconvenience caused by the non-performance of the contract. When in a contract there is a stipulation that a certain sum will become payable if there is a breach of the contract or other penalty provision, it will be the obligation of the party who has broken the contract to compensate the other party the amount so stipulated or the penalty so provided whether or not actual damage or loss is proved.

Where a party to a contract rescinds it rightfully he is entitled to compensation for any damage which he has sustained through the non-fulfilment of the contract. For example, a singer having agreed to sing at the theatre for consecutive days absents himself after two days will be liable to pay compensation to the manager of the theatre for the damage sustained due to non-fulfilment of the contract and he can rescind the contract with the singer.

9.7.1 Indemnity and Guarantee

A contract by which one party promises to save the other from loss caused to him by the conduct of the promisor himself, by the conduct of any other person, is called a 'contract of

indemnity'. The person who is so indemnified is entitled to recover from the promisor all damages, costs incurred to bring or defend himself in any suit in respect of any matter to which the promise to indemnify applies, or any sum which he may have paid under the terms of any compromise of any such suits.

A 'contract of guarantee' is a contract to perform the promise or discharge the liability, of a third person in case of his default. The person who gives the guarantee is called 'surety'. The person in respect of whose default the guarantee is given is called the 'principal debtor' and the person to whom the guarantee is given is called the 'creditor'. A guarantee may be oral or written. Anything done, or any promise made, for the benefit of the principal debtor may be a sufficient consideration to the surety for giving the guarantee. The contract of guarantee can be invalidated by misrepresentation by the creditor or by his silence on material circumstances. The liability of the surety is coextensive with that of the principal debtor unless otherwise provided in the contract itself. In the case of continuing guarantee the surety can revoke the same by notice to the creditor or by his death. Any alteration made in the terms of the contract between the principal debtor and the creditor without the consent of the surety discharges the surety as to transactions subsequent to the variations. The surety is also discharged at the instance of the principal debtor when he makes any composition with the creditor or releases the surety.

9.8 BAILMENT

'Bailment' is the delivery of goods from one person to another person upon a contract that they shall, when the purpose is accomplished be returned or otherwise disposed of according to the direction of the person delivering them. The person delivering the goods is called the 'bailor' and the person to whom they are delivered is called 'bailee'. If a person is already in possession of the goods of another person and contracts to hold them as a bailee, he thereby becomes the bailee and the owner becomes the bailor of such goods although they may not have been delivered by way of bailment.

The duties of the bailor is to put the bailee in possession of the goods and to disclose material faults. He is also liable to pay expenses of bailment or pay damages for defect in goods or title. The bailee has to take a prudent man's care not to make wrongful use of goods or mix up with his own goods. He has to return the bailed goods and for any default he is liable to pay damages.

The bailment of goods as security for payment of a debt or performance of a promise is called 'pledge'. The bailor in this case is called 'pawner' and the bailee is called the pawnee'.

9.8.1 Agency

An 'agent' is a person employed to do any act for another or to represent another in dealings with third person. The person for whom such act is done or who is so represented is called the 'principal'. The agent and principal must be major and of sound mind. It is the duty of the agent not to delegate authority except when custom of trade permits the use of discretion and to take reasonable steps to protect interest of principal to render proper accounts, communicate with principal, disclose material facts and not conceal dishonestly. The duties of the principal are to pay the remuneration of the agent, indemnify agent for lawful acts and compensate agent for injury caused due to neglect of the principal. He has the authority to ratify the acts of the agent, revoke his authority, claim compensation for loss arising due to agents negligence and misconduct. Third parties can enforce contract against the principal or agent, hold them liable and claim compensation from agent. An agent can employ a sub-agent who is responsible to the agent.

Check Your Progress 4

Note: i) Use the place below for your answers.

ii) Check your answers with model answers given at the end of the unit.

1) What is the difference between indemnity and guarantee?

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2) What is a bailment?

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9.9 LET US SUM UP

From the above unit you would have seen the principles which govern the Law of Contract between two parties. If you have become familiar with the rights and obligations of the promisor and promisee in relation to a contract arrived at between the two, it would be possible for you to appreciate their relationship in the context of the rights of the consumer and the supplier of goods or services. Viewed in that context, you will know whether a valid contract has come into existence and the various rights and duties that flow from the relationship of the parties.

9.10 ANSWERS TO CHECK YOUR PROGRESS

Check Your Progress 1

1) A contract which is not enforceable by law is a void contract. An illegal contract is that which does not fulfil all the necessary legal conditions. It can be made viodable.

2) See sec. 9.2

Check Your Progress 2

1) Valid acceptance is acceptance of a proposal by any act or omission of the proposal.

2) See sec. 9.4

Check Your Progress 3

1) See sec. 9.5

2) See sec. 9.6

Check Your Progress 4

1) See sec. 9.7.1

2) See sec. 9.8

UNIT 10 THE SALE OF GOODS ACT, 1930

Structure

10.0 Objectives

10.1 Introduction

10.2 Salient Features of the Act

10.3 Certain Definitions

10.4 Essentials of a Contract of Sale

10.5 Classification of Goods

10.6 Transfer of Ownership of Goods

10.7 Performance of the Contract of Sale

- 10.7.1 Duties of the Seller and the Buyer
- 10.7.2 Delivery

10.8 Conditions and Warranties

- 10.8.1 Definition of Condition and Warranty
- 10.8.2 Effect of Breach of Condition and Warranty

10.9 Doctrine of Caveat Emptor (Buyer Beware)

- 10.9.1 Unpaid Seller and his Rights

10.10 Let Us Sum Up

10.11 Answers to Check Your Progress

10.0 OBJECTIVES

After studying this unit, you should be able to:

- know about genesis of the Sale of Goods Act,
- understand the basis of a contract of sale, so essential for consumers to know,
- comprehend the different terms used in a contract of sale, and
- know the rights and duties of the buyers and sellers.

10.1 INTRODUCTION

Some reference to this Act has already been made in Unit 17 of Block 5 in Course 1. This Unit details the different provisions which must be known to consumers. To be more specific, it provides definitions of various terms, the conditions and warranties which are implied in a contract of sale, the rights and duties of buyer.

10.2 SALIENT FEATURES OF THE ACT

In this unit you will study the basic provisions of the Sale of Goods Act, 1930. The following salient features of the Act are worth noting:

i) The Act aims to define and amend the law relating to the sale of goods.

ii) It extends to the whole of India (except the State of Jammu and Kashmir).

iii) It came into force on 1 July, 1930.

iv) The Act makes a distinction between sale and agreement to sell. It defines, the term 'goods', which is the subject matter of the contract of sale. It defines the contract of sale and the method by which this contract is made. The consideration for sale is price and the Act guides us as to how it can be fixed.

v) Further, the Act specifies the effects of statements made by the seller. These statements affect the contract of sale in different ways.

vi) Furthermore, the Act prescribes certain stages in the performance of a contract of sale of goods by a seller.

vii) Last but not the least, the Act defines rights of an unpaid seller.

10.3 CERTAIN DEFINITIONS

A number of words and expressions have been used in the Act. These must be clearly understood by you if you want to understand its various provisions. In the following paragraphs, you would note their meanings.

Buyer

It means a person who buys or agrees to buy goods. The Act does not define the term consumer. In fact, the word 'consumer' is not used in the Act. Further, the term 'buyer' is restricted in the context of 'goods' only and does not, therefore, extend to 'services'.

Delivery

It means voluntary transfer of possession from one person to another.

Goods

It means every kind of movable property other than actionable claims and money; and includes stock and shares, growing crops, and things attached to or forming part of the land which are agreed to be severed before sale or under the contract of sale. This definition needs some explanation which is given below.

Price

It means the money consideration for a sale of goods.

Property

It means the general property in goods, and not merely a special property. The term property refers to the ownership or title to the goods. It is of two types - general and special. It needs some explanation which is given below.

A Contract of Sale

The phrase is defined as a contract of sale of goods whereby the seller transfers or agrees to transfer the property in goods to the buyer for price.

Sale and Agreement to Sell

Where under a contract of sale the property in the goods is transferred from the seller to the buyer, the contract is called a sale, but where the transfer of the property in the goods is to take place at a future time or subject to some conditions thereafter to be fulfilled, the contract is called an agreement to sell.

10.4 ESSENTIALS OF A CONTRACT OF SALE

From the definition of the contract of sale given below, the following essentials are obvious:

i) There must be at least two parties. There must be at least two persons – seller and buyer. A person cannot buy his own goods.

ii) It must involve either transfer or agreement to transfer ownership in the goods. In a contract of sale, it is the ownership that is transferred, or agreed to be transferred as against mere transfer of possession.

Where under a contract of sale the ownership in the goods is transferred from the seller to the buyer, the contract is called a sale, but where the transfer of the ownership in the goods is to take place at a future time or subject to some condition thereafter to be fulfilled, the contract is called an agreement to sell. An agreement to sell becomes a sale when the time elapses or the conditions are fulfilled subject to which the ownership in the goods is to be transferred.

iii) The subject matter of the contract must necessarily be goods. The sale of goods only is covered by the sale of Goods Act. The sale of immovable property is not covered by this Act.

iv) The term 'goods' include every kind of movable property other than actionable claim and money. Things like water, gas, electricity are all goods. Even copyright, trade mark, patent, and goodwill. It is only movables, i.e., things which can be carried from one place to another that form 'goods'. Also all such things which are part of the land itself but are agreed to be severed from the land under the contract are considered to be goods. Thus, where trees were sold, to be cut and then taken away by the buyer, it was held that there was a contract for sale of movable property. The term 'goods' also include stock and shares of companies.

However, actionable claims and money are excluded from the definition of the term 'goods'. Actionable claims are things which a person cannot make use of, but which can be claimed by him by means of a legal action, for example, a debt. 'Money' means legal tender money and not the old rare coins which can be sold and purchased as goods. Money, which is legal tender, is an essential aspect of every sale because the price of goods has to be expressed in terms of money and, therefore, 'money' itself cannot be the subject of a sale. Foreign currency may, however, be bought or sold.

v) The consideration in a contract of sale has necessarily to be 'money', i.e., the legal tender. If, for instance, goods are offered as the consideration for goods, such a transaction will not amount to a sale. It will be called a 'barter'. Similarly, in case there is no consideration, it amounts to gifts and not a sale. Where goods are sold for a definite sum and the price is paid partly in terms of valued up of goods and partly in cash, that is sale.

vi) A contract of sale may be absolute or conditional.

vii) All other essentials of a valid contract must be present. Being a specie of contract, sale must conform to all other essentials of a valid contract. For example, parties to the transaction must be competent of contracting, consent of the parties must be free; the object must be legal and so on. Thus a contract of sale is made by an offer to buy or sell goods for a price and the acceptance of such offer. The contract may provide for the immediate delivery of the goods or immediate payment of the price or both, or for the delivery for payment by instalments or that the delivery or payment or both shall be postpone.

Further, a contract of sale may be made in writing or by word of mouth, or partly in writing and partly by word of mouth or may be implied from the conduct of the parties.

10.5 CLASSIFICATION OF GOODS

Goods may be classified into existing, future and contingent goods.

Existing goods: Existing goods are those which are owned or possessed by the seller at the time of the contract. Existing goods may be either —

i) Specific and ascertained; or

ii) Generic and unascertained.

"Specific goods" means goods identified and agreed upon at the time a contract of sale is made.

'Ascertained goods', though normally used as synonym for specific goods may be intended to include goods which has become ascertained subsequently to the formation of the contract.

Generic or unascertained goods are goods indicated by description and not specifically identified.

Example: Amar, who owns a showroom for Ambassador car, has 50 cars and agrees to sell any one of them to Bikram. The contract is for unascertained goods, since which particular car shall become the subject matter of sale is not individualised at the time of the contract of sale.

Future goods: 'Future goods' means goods to be manufactured or produced or acquired by the seller after making the contract of sale.

Example: An agreement to sell all mangoes in the next season in a particular garden implies the contract of sale of future goods.

Contingent goods: 'Contingent goods' are the goods the acquisition of which by the seller depends upon a contingency which may or may not happen. 'Contingent goods' is a part of future goods. For example, Anil agrees to sell to Bhanu a certain painting only if Rina, its present owner, sells it to him. This painting is classified as contingent goods.

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your answers with the model answers given at the end of the unit.

1) Explain whether the following transactions would be classified as a 'sale' or an 'agreement to sell':

   i) Anna offers to sell his Maruti 800 for Rs. 1,50,000 to Swamy. Swamy accepts the offer. The delivery of the car and the payment of the price have been postponed to first Sunday of the next month.

   ii) Anna offers to sell certain goods which are on their way from London to Mumbai in a ship, to Meera at a fixed price. Meera accepts the offer and agrees to pay for the goods after the ship arrives.

2) State whether the following statements are True or False.

   i) The subject matter of a contract of sale must be movable property.

   ii) A contract of sale of goods is a contract by which the seller transfers or agrees to transfer the property in goods to the buyer for a price.

   iii) The consideration for the contract of sale can be partly in money and partly in goods.

   iv) The consideration for the contract of sale can be in money only.

10.6 TRANSFER OF OWNERSHIP IN GOODS

One of the most important questions in a contract of sale of goods is: when does the ownership in the goods pass from the seller to the buyer? The determination of the exact moment as to when the ownership pass from the seller to the buyer is important because if the goods are lost or damaged, who will bear the loss shall depend upon as to whether the ownership is with the seller or the buyer. The general rule is risk follows the ownership.

When does ownership in goods pass from the seller to the buyer? The rules concerning passing of ownership in case of different types of goods are summarised as follows:

i) Specific goods in a deliverable state. In the case of specific goods in a deliverable state, the property in them passes at the time when the contract is made. The fact that the time of payment or the delivery of the goods, or both, is postponed does not affect the passing of the ownership. The goods are said to be in a deliverable state when they are in such state that the buyer would under the contract be found to take delivery of them.

   Example: Shyam offers to sell to Ram his car at Rs. 1,50,000 Ram accepts the offer. Immediately, the offer is accepted, i.e., the contract is made, the ownership in the car passes to Ram. It shall make no difference even if the price is to be paid later or the delivery is postponed to a stated day or even if the goods are sold on credit, because the contract is one for the sale of specific goods in a deliverable state.

ii) Specific goods not in a deliverable state. In the case of specific goods to which something has to be done by the seller to put them in a deliverable state ownership passes only when such thing is done, and the buyer has notice thereof.

   Example: The whole of the contents of a tin of oil are sold, and the seller has to put the oil in bottles to be then delivered to the buyer. The ownership would not pass till the oil was actually put into bottles ready for delivery and the buyer is notified accordingly.

iii) Specific goods in a deliverable state, when the seller has to do anything thereto in order to ascertain price. Where there is a contract for the sale of specific goods in a deliverable state but the seller is bound to weigh, measure, test or do some other thing with reference to them, for ascertaining the price, the ownership does not pass till such act or thing is done and the buyer has notice of it.

iv) Unascertained or future goods. When there is a contract for the sale of Unascertained goods, ownership in the goods is not transferred to the buyer unless and until the goods are ascertained.

   Example: Amir agrees to sell Bhim two quintals of wheat out of a larger quantity lying in Amir's store. The agreed price is to be paid on the day appointed under the contract. Unless and until the required quantity of two quintals is separated from the larger quantity and the goods have thus been ascertained, ownership cannot pass from the seller to the buyer.

v) Sale of unascertained goods and appropriation. In the case of sale of ascertained goods or future goods by description, ownership passes to the buyer when goods of that description in a deliverable state are appropriated to the contract, either by the seller with the assent of the buyer or by the buyer with the assent of the seller.

vi) Sale on 'approval' or on 'sale or return' basis. Where goods are delivered to the buyer on 'approval' or on 'sale or return' or similar terms, the ownership passes to the buyer when he (a) signifies his approval or acceptance to the seller (b) does any act adopting the transaction, e.g., pledges the goods with a third party; or (c) retains the goods, without giving notice of rejection, beyond the time fixed for the return of goods, or if no time is fixed, beyond a reasonable time.

10.7 PERFORMANCE OF THE CONTRACT OF SALE

The contract of sale of goods is to be performed. In this context, it is necessary to discuss the duties of the seller and buyer and the rules regarding delivery of goods.

10.7.1 Duties of the seller and the buyer

It is the duty of the seller to deliver the goods and the buyer to accept and pay for them, in accordance with the terms of the contract of sale. The delivery of goods and payment of price are concurrent conditions, subject to the contract to the contrary. In other words, no delivery need be given, if the buyer is not willing to pay the price, nor need the buyer pay the price, unless the seller is ready and willing to give delivery.

The seller of goods has the duty of giving delivery of the goods according to the terms of the contract and according to the rules contained in the Sale of Goods Act.

The buyer of the goods has the duty to:

i) pay for the goods;

ii) accept delivery; and

iii) pay compensation to the seller in case he wrongfully refuses to accept delivery.

10.7.2 Delivery

Delivery is defined in the Act as 'a voluntary transfer of possession from one person to another.' The delivery of goods sold may be made by doing anything which the parties agree shall be treated as delivery or which has the effect of putting the goods in the possession of the buyer or any person authorised to hold them on his behalf.

Rules regarding delivery. The rules regarding delivery of goods are summarised as follows:

i) The delivery of part of goods sold may amount to delivery of the whole it is so intended or agreed. But, however, where the part is intended to be severed from the whole, part delivery does not amount to be delivery of the whole.

ii) Unless agreed otherwise, the seller is not bound to deliver goods till the buyer applies for delivery. Even where the goods are to be acquired by the seller, the duty of the seller ends with notifying the buyer that they have been acquired. It is still the duty of the buyer to apply for delivery.

Place of delivery

Whether it is for the buyer to take possession of the goods or for the seller to send them to the buyer is a question depending in each case on the contract express or implied, between the parties. Apart from any such contract, goods sold are to be delivered at the place at which they are at the time of the sale, and goods agreed to be sold are to be delivered at the place at which they are at the time of the agreement to sell, or, if not in existence, at the place at which they are manufactured or produced.

Time of delivery

Where under the contract of sale the seller is bound to send the goods to the buyer, but no time for sending them is fixed, the seller is bound to send them within a reasonable time.

Unless otherwise agreed, the expenses of and incidental to putting the goods into a deliverable state shall be borne by the seller.

Demand by the buyer, and the tender of goods by the seller must be at a reasonable hour. What is a reasonable time is a question of fact.

Delivery of wrong quantity. Where the seller delivers to the buyer a quantity of goods less than he contracted to sell, the buyer may reject them. But, if the buyer accepts the goods so delivered he shall be required to pay for them at the contracted rate.

Where a larger quantity is delivered, the buyer may accept the goods included in the contract and reject the rest or he may reject the whole. If the buyer accepts the whole of the goods so delivered, he shall pay for them at the contract rate.

Where the goods of the contract description are mixed up with other goods, the buyer may accept the goods which are in accordance with the contract and reject the rest, or may reject the whole.

The above provisions are subject to any agreement between the parties.

Instalment deliveries. The buyer is not bound to accept delivery by instalments, unless otherwise agreed.

Where there is a contract for the sale of goods to be delivered by stated instalments which are to be separately paid for; and either buyer or seller commits a breach of contract, it is a question depending on the terms of the contract and circumstances of the case whether the breach is a repudiation of the whole contract or a severable breach merely giving a right to claim for damages.

Generally, failure to deliver the goods or pay for one instalment, does not amount to breach of the whole contract. But where the breach is such as to lead to a reasonable inference that similar breaches will be committed with reference to the subsequent instalment also, the other party is entitled to treat the whole contract as repudiated.

Delivery to the carrier. The delivery of goods by the seller to a carrier for transmission to the buyer is *prima facie* deemed to be a delivery of the goods to the buyer unless the right of disposal has been reserved by the seller.

The seller is bound to make with the carrier such a contract of carriage as properly protects the interests of the buyer, except where the contract provides otherwise. If the seller fails to do so, he is liable in damages to the buyer. Also, the buyer may refuse to treat delivery to the carrier as delivery to himself.

Where goods are delivered to a buyer, which he has not previously examined, he is not deemed to have accepted them, unless he has reasonable opportunity of examining them and ascertaining whether they conform to the contract. This is subject to the contract to the contrary between the parties.

Buyer not bound to return rejected goods. Unless otherwise agreed, when the goods are delivered to a buyer on sale or return basis and the buyer refuses to accept them, he is not bound to return them to the seller, but it is his duty to inform the seller that he has refused them; otherwise after lapse of a reasonable time, he will be deemed to have accepted them.

Liability of the buyer. When the seller is ready and willing to deliver the goods and requests the buyer to take delivery and the buyer does not within a reasonable time after such request take delivery of the goods, he is liable to the seller for any loss occasioned by his neglect or refusal to take delivery, and also for a reasonable charge for the care and custody of the goods. However, this rule does not affect the seller's right to treat the buyer's refusal or neglect as a breach of the contract.

Buyer's rights against seller

The buyer's rights against the seller are summarised as follows:

i) **Damages for non-delivery**. Where the seller wrongfully neglects or refuses to deliver the goods to the buyer, the buyer may sue the seller for damages for non-delivery.

ii) **Specific performance**. A buyer can only get his contract specifically performed, i.e., obtain an order of a court compelling the seller to deliver the goods, which goods are specific or ascertained. Specific performance is granted only where damages are not an adequate remedy.

iii) **Remedy for breach of warranty**. Where a warranty is broken by the seller, or where the buyer is compelled to treat a breach of condition as a breach of warranty, the buyer may:

(a) set up the breach of warranty in diminution (reduction) or extinction of the price, or

(b) sue the seller for damages for breach of warranty.

Check Your Progress 2

Note i) Use the space given below for your answers.

ii) Check your answers with the model answers given at the end of the unit

1) State whether the following statements are True or False:

i) Risk follows ownership.

ii) Unless otherwise agreed, delivery of goods and payment of the price are concurrent conditions.

iii) In the case of specific goods in a deliverable state, the ownership passes in them at the time when the contract is made.

iv) Where the seller wrongfully neglects or refuses to deliver the goods to the buyer, the buyer may sue the seller for damages for non-delivery.

2) Answer the following problems, giving reasons:

i) Anita buys a washing machine from a shopkeeper. She neither makes the payment nor takes delivery of the machine. She requests the shopkeeper to deliver the machine next day and receive the payment. As a result of accidental fire in the shop, the machine is destroyed. Is Anita bound to pay the price?

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ii) Kamal entrusts his car to an agent for sale at a price of Rs. 1,20,000 and not below that. The agent sells the car to Bimal for Rs. 1,00,000. Does Bimal get a good title to the car?

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iii) Rajiv obtains possession of a car from a dealer under a hire-purchase agreement. Later he sells it to Raman. Does Raman gets a good title to the car?

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10.8 CONDITIONS AND WARRANTIES

In a contract of sale, parties make certain stipulations, i.e., agree to certain terms. All stipulations are not treated on the same footing. some may be intended by the parties to be a fundamental nature, e.g., quality of the goods to be supplied, the breach of which, therefore, will be regarded as a breach of the whole contract. Some stipulations may be intended by the parties to be binding, but of a subsidiary or inferior character, e.g., time of payment, so that a breach of these terms will not put an end to the contract but will make the party committing the breach, liable in damages. The former stipulations are called 'conditions' and the latter 'warranties'.

10.8.1 Definition of 'Condition' and 'Warranty'

A condition is a stipulation essential to the main purpose of the contract, the breach of which gives rise to a right to treat the contract as repudiated.

A warranty is a stipulation collateral to the main purpose of the contract, the breach of which gives rise to a claim for damages, but not to a right to reject the goods and treat the contract as repudiated.

Where a stipulation in a contract of sale is a condition or a warranty depends in each case on the construction of the contract. A stipulation may be a condition, though called a warranty in a contract.

10.8.2 Effect of Breach of Condition and Warranty

The effect of a breach of a condition is to give the aggrieved party a right to treat the contract as repudiated. In the case of breach of warranty only damages can be claimed.

As the effect of breach of condition and warranty are different, you should note carefully the distinction between 'condition' and warranty.

A condition is a stipulation (in a contract) which is essential to the main purpose of the contract. A 'warranty' is a stipulation which is only collateral or subsidiary to the main purpose of the contract.

A breach of condition gives the aggrieved party a right to sue for damages as well as the right to repudiate the contract. A breach of warranty gives only the right to sue for damages. The contract cannot be repudiated.

Let us illustrate the distinction between a 'condition' and a 'warranty'.

Breach of Condition to be Treated as Breach of Warranty

Under the following circumstances the breach of condition is to be treated as a breach of warranty, i.e., the right to repudiate the contract is deemed to have been lost.

i) Waiver of condition. Where a contract of sale is subject to any condition to be fulfilled by the seller, the buyer may (a) waive the condition; or (b) elect to treat the breach of condition as a breach of warranty.

If the buyer decides to waive the condition, he cannot later on insist that the condition must be fulfilled.

ii) Compulsory treatment of breach of condition as breach of warranty. Where the contract of sale is not severable and the buyer has accepted the goods or part thereof, the breach of any condition to be fulfilled by the seller can be treated as a breach of warranty. However, the contract may provide otherwise, i.e., may permit repudiation of the contract in spite of the acceptance of the goods by the buyer.

Conditions and Warranties may be either Express or Implied

Conditions and warranties are said to be "express" when the terms of the contract expressly provide them. They are said to be "implied" when the law deems their existence in the contract even without their actually having been put in the contract.

An implied condition or a warranty may be negotiated by an express term to the contrary.

Express condition or warranty: These may be of any kind that the parties may choose to agree upon, e.g., it may be agreed condition that the delivery shall be made or taken on or before a certain date. Further, an agreed warranty as to soundness of a car may be incorporated in the contract.

Implied conditions and warranties: As has been mentioned above, the implied conditions and warranties are deemed to be incorporated in every contract of sale of goods unless the terms of the contract show a contrary intention. The following are the implied conditions:

i) Condition as to title to the goods.

ii) Condition in the case of a sale by description.

iii) Condition as to quality or fitness.

iv) Condition as to merchantable quality.

v) Condition in the case of a sale by sample.

vi) Condition in the case of a sale by description and sample.

These conditions are explained below:

i) **Condition as to title to the goods:** In a contract of sale, unless the circumstances of the contract are such as to show a different intention there is an implied condition on the part of the seller that in the case of a sale, he has a right to sell the goods and that in the case of an agreement to sell, he will have a right to sell the goods at the time when the ownership is to pass. As a consequence of this, if the title turns out to be defective, the buyer is entitled to reject the goods and claim refund of the price (if paid) plus damages. This will be allowed even where the buyer has used the goods.

ii) **Implied condition in the case of sale by description:** Where there is a contract for the sale of goods by description there is an implied condition that the goods shall correspond with the description.

iii) **Sale by sample:** A contract of sale is a contract for sale by sample where there is a term in the contract, express or implied, to that effect. In a sale by sample, there is an implied condition that —

a) the bulk shall correspond with the sample in quality;

b) the buyer shall have a reasonable opportunity of comparing the bulk with the sample; and

c) the goods shall be free from any defects rendering them unmerchantable, which would not be apparent on reasonable examination of the sample.

iv) **Condition as to sale by description as well as sample:** If the sale is by sample as well as description, the goods must not only correspond with the sample but also with the description.

v) **Condition as to quality or fitness:** Where the buyer, expressly or by implication, makes known to the seller the particular purpose for which the goods are required, so as to show that the buyer relies on the seller's skill or judgement, and the goods are of a description which it is in the course of the seller's business to supply (whether he is manufacturer or producer or not) there is an implied condition that the goods shall be reasonably fit for such purpose.

However, this condition as to quality or fitness does not operate where specific goods are sold under their patent or trade name.

vi) **Condition as to merchantable quality:** Where goods are bought by description from a seller who deals in goods of that description (whether he is the manufacturer or producer or not), there is an implied condition that the goods shall be of merchantable quality, i.e., the goods shall be free from latent defect (defects which are not apparent or possible of detection by mere inspection). Where, however, the buyer has examined the goods, there shall be no implied condition as regards defects which such examination ought to have revealed.

Implied Warranties: There are two implied warranties. These are:

i) Warranty for quiet possession.

ii) Warranty of freedom from encumbrances.

i) **Warranty for quiet possession:** In a contract of sale, unless contrary intention appears, there is an implied warranty that the buyer shall have and shall enjoy quiet possession of the goods. Thus, if the right of enjoyment or possession of the buyer is disturbed by the seller or any other person, the buyer is entitled to sue the seller for damages.

ii) **Warranty of freedom from encumbrances:** The buyer is entitled to another warranty that the goods are free from any charge or encumbrance in favour of a third person, not declared to or known to buyer.

10.9 DOCTRINE OF CAVEAT EMPTOR

The doctrine of caveat emptor is a fundamental principle of the law of sale of goods. It means "caution buyer", i.e., "let the buyer beware". In other words, it is no part of the seller's duty to point out defects in his goods. The buyer must inspect the goods to find out if they will suit his purpose. As a general rule, a buyer is supposed to satisfy himself about the quality of goods he purchases and also he is charged with the responsibility of seeing for himself that the goods suit the purpose for which he buys them. Thus, later on, if the goods purchased turn out to be unsuitable for the purpose for which he bought them, the seller cannot be asked to compensate. There are, however, certain exceptions to this general rule. These are:

i) Where the seller makes a false representation and the buyer relies on that representation. The buyer will be entitled to the goods according to that representation.

ii) Where the seller actively conceals a defect in the goods, so that on a reasonable examination the same could not be discovered.

iii) Where the buyer makes known to the seller the purpose for which he is buying the goods, and the seller happens to be a person whose business is to sell goods of that description, then there is an implied condition that the goods shall be reasonably fit for such purpose. This has already been explained.

iv) In case of sale by description, there is an implied condition as to their being of merchantable quality. However, if the buyer has examined the goods, this condition of 'merchantability' extends to hidden or latent defects. The defects which such examination ought to have revealed are not covered, i.e., the rule of caveat emptor will not operate.

10.9.1 Unpaid Seller and his Rights

A seller is deemed to be an unpaid seller when (i) the whole of the price has not been paid; (ii) a bill of exchange or other negotiable instrument has been received as a conditional payment, and the condition on which it was received has not been fulfilled by reason of the dishonour of the instrument.

The rights of an unpaid seller may broadly be classified under two heads namely (i) rights against goods, and (ii) rights against the buyer personally.

When the ownership in the goods has passed to the buyer, an unpaid seller has three rights against the goods. These are: (I) right of lien on the goods; (ii) Right of stoppage of goods in transit, and (iii) Right of resale.

An unpaid seller, who is in possession of goods is entitled to retain them in his possession until payment of the price.

Further when the buyer becomes insolvent, the unpaid seller who has parted with the possession of the goods has the right of stopping them in transit. In other words, he may resume possession of the goods as long as they are in the course of transit, and may retain them until payment of the price.

The third right of the unpaid seller against the goods is that of resale of goods.

An unpaid seller, besides his rights against the goods, has the following rights against the buyer personally. There are: (i) right to sue for the price; (ii) right to sue the buyer for damages for non-acceptance of goods.

Check Your Progress 3

Note: i) Use the space given below for your answers.

ii) Check your answers with the model answers given at the end of the unit.

1) State whether the following statements are True or False.

i) A breach of condition can be treated as a breach of warranty.

ii) A condition is a stipulation collateral to the main purpose of the contract.

iii) A warranty is a stipulation essential to the main purpose of the contract.

iv) A contract of sale involves transfers of ownership.

v) The right of lien of an unpaid seller depends solely on the possession of goods.

vi) The right of the stoppage in transit commences only when the right of lien is lost.

2) Dhiman purchased a refrigerator from a dealer for Rs. 15,000. The refrigerator was defective from the very beginning and did not work in spite of repairs Dhiman wants to return the refrigerator to the dealer, and claim refund. Would he succeed?

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10.10 LET US SUM UP

The law relating to sale of goods is contained in the Sale of Goods Act, 1930. A contract of sale of goods is a contract whereby the seller transfers or agrees to transfer ownership in the goods to the buyer for a price. There are certain essentials of a contract of sale. These are (i) There must be at least two parties to constitute a contract of sale of goods only (ii) The contract of sale may involve either a sale or an agreement to sell (iii) The consideration in a contract of sale has necessarily to be in money (iv) The contract of sale is to be distinguished from a hire purchase agreement.

'Goods' form the subject matter of the contract of sale. It means any movable property. The shares and stock of companies are expressly included in the term 'Goods.' However, 'actionable claims' and legal tender money are excluded from the term 'goods.'

There are certain rules for the transfer of ownership in the goods from the seller to buyer. Also risk follows ownership.

In a contract of sale, parties make certain stipulations. These are known as conditions and warranties. There stipulations are not treated on equal footing. Further these stipulations may be express or implied.

There are certain rights and duties of both the buyer and the seller as regards performance of the contract of sale. These concern primarily regarding delivery and price of goods.

An unpaid seller has certain rights. These rights are against (I) the goods and (ii) the buyer.

10.11 ANSWERS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) (i) Sale (ii) agreement to sell

2) (i) T (ii) T (iii) T (iv) F

Check Your Progress 2

1) i) T (ii) T (iii) T (iv) T

2) i) Yes, as she had become the owner, even though she did not take the possession. The rule 'risk follows ownership' would apply.

   ii) Yes Bimal gets a good title to the car. The sale by the agent is for and on behalf of Kamal.

   iii) No Raman does not get a good title to the car as Rajiv is only a hirer and not the owner. Therefore Rajiv cannot pass any title to Raman.

Check Your Progress 3

1) (i) T (ii) F (iii) F (iv) T

   (v) T (vi) T

2) Yes, Dhiman would succeed.

UNIT 11 MRTP ACT, 1969

Structure

11.0 Objectives

11.1 Introduction

11.2 Objectives of MRTP Act

- 11.2.1 To Check Concentration of Economic Power
- 11.2.2 To Check Monopolistic Trade Practices
- 11.2.3 To Check Restrictive Trade Practices
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11.3 Applicability of the Act

11.4 MRTP Commission and other Authorities under the Act

11.5 Concentration of Economic Power vis-à-vis MRTP Act

- 11.5.1 Division and Severance of Undertakings

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- 11.6.1 Meaning and Definition
- 11.6.2 Investigation by MRTP Commission
- 11.6.3 Powers of the Central Government
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11.7 Restrictive Trade Practices

- 11.7.1 Meaning and Definition
- 11.7.2 Distinction between Monopolistic and Restrictive Trade Practices
- 11.7.3 Registrable Restrictive Practices
- 11.7.4 Exempted Agreements
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11.8 Unfair Trade Practices

- 11.8.1 Meaning and Definition of Unfair Trade Practice
- 11.8.2 Inquiry into an Unfair Trade Practice
- 11.8.3 Powers of the Commission

11.9 Let Us Sum Up

11.10 Key Words

11.11 Some Useful Books

11.12 Answers to Check Your Progress Exercises

11.0 OBJECTIVES

This unit identifies the objectives of the MRTP Act 1969 and discusses the same in details with respect to various provisions of the said Act. Thus, after the study of this Unit, you would not only know the exact purpose of MRTP Act, 1969 but also how since 1991 the focus of this legislation has changed from checking of the concentration of economic power to protection of the consumers. With a view to offer protection to the consumers, certain practices, viz.,

monopolistic, restrictive, and unfair trade practices are sought to be checked. After study of this Unit, you would know as to what these practices are and what relief is contained in the Act against those who indulge in such practices.

11.1 INTRODUCTION

The Monopolies and Restrictive Trade Practices (MRTP) Act has its genesis in the Directive Principles of State Policy embodied in the Constitution of India. Article 39 (b) and (c) thereof lays down that the State shall direct its policy towards ensuring:

i) that the ownership and control and material resources of the community are so distributed as best to sub-serve the common good, and

ii) that the operation of the economic system does not result in the concentration of wealth and means of production to the common detriment.

One of the basic tenets of State Policy, therefore, is to ensure that while promoting economic and industrial growth for the welfare of the citizens, progressive reduction in the concentration of wealth and economic power is also brought about to secure social and economic justice. It was against this background that political and industrial circles in our country started feeling increasingly from 1960 onwards that the actual operation of the economic system and, particularly industrial licensing during the 50's and 60's tended to result in greater concentration of economic power in a group of large industrial houses and that the diffusion of entrepreneurship in industry was desired. On the basis of reports of various committees, the MRTP Bill was eventually introduced on 18th August 1967. On 27th December 1969 the Bill became an Act which actually came into force on 1st June 1970. **The Act extends to the whole of India except the State of Jammu and Kashmir.**

11.2 OBJECTIVES OF THE ACT

You may note that objectives of legislation are usually given in the preamble to the Act. Likewise, the preamble to the MRTP Act lays down its objectives. The objectives of MRTP Act are:

a) To prevent concentration of economic power to the common detriment and control of monopolies ;

b) To prohibit monopolistic trade practices;

c) To prohibit restrictive trade practices; and

d) To prohibit unfair trade practices.

11.2.1 Prevention of Concentration of Economic Power

Monopolies are usually good for a few and to the evil and detriment of many. Monopolies have a tendency to restrict competition with the result that the monopolistic concerns have a hold on the prices of commodities in the market and it ultimately results in the exploitation of many at the hands of a few.

The monopolies, therefore, may require to be controlled so that they do not work to the detriment of a large section of the community. The Act now seeks to achieve this objective through empowering the Central Government, on recommendation of the MRTP Commission, by ordering division of an undertaking or severance of inter-connection between two or more undertakings in public interest or to check adoption of monopolistic or restrictive trade practices.

Control through registration of undertakings, which reach a particular size and then monitoring their growth has been abandoned since 1991. Accordingly, Sections 21 to 26 have been omitted.

With the initiation of market economy and the consequent liberalisation of economic policy since 1991, this objective has been substantially diluted. However, it still remains as one of the objectives of the MRTP Act but only insofar as a large undertaking is likely to indulge in the practice of monopolistic or restrictive trade practices. Sections 27 and 27A of the Act, in such cases empower the Central Government to order division of an undertaking or severance of interconnection between undertakings. The order for division or severance of interconnection shall be made by the Central Government on a recommendation of the MRTP Commission after due inquiry in this regard.

11.2.2 To Check Monopolistic Trade Practices

Chapter IV of the Act deals with monopolistic trade practices by an undertaking(s). Although the authority to take action vests with the Central Government, Section 10, empowers MRTP Commission to inquire into any monopolistic trade practice upon a reference made to it by : (i) the Central Government; (ii) the Director General; (iii) upon its own knowledge or information.

Besides, where the MRTP Commission while making an inquiry into a restrictive trade practice comes to learn of any monopolistic trade practice, it may inquire into such monopolistic trade practice and recommend suitable action to the Central Government (Section 37).

11.2.3 To Check Restrictive Trade Practices

Chapter V of the Act deals with matters pertaining to restrictive trade practices. The MRTP Commission has been vested with full powers to regulate such practices through investigation and final orders thereafter. The Act also has made provision for a scheme of registration of certain agreements pertaining to restrictive trade practices. As per Section 10 inquiry into such practices can be made at the instance of (i) the Central Government; (ii) State Government; (iii) Director General; (iv) Trade association; (v) a registered consumers' association; or (vi) the Consumer.

11.2.4 To Check Unfair Trade Practices

Once again, MRTP Commission has full powers to inquire into and pass appropriate orders with respect to unfair trade practices. As in the case of restrictive trade practices, inquiry into an unfair trade practice can be made at the instance of (i) the Central Government; (ii) State Government; (iii) Director General; (iv) Trade association; (v) a registered consumers' association; or (v) the consumer.

11.3 APPLICABILITY OF THE ACT

You may note that the provisions of the MRTP Act are not applicable to the State of Jammu and Kashmir. Thus, if any person or undertaking indulges into any monopolistic/restrictive/ unfair trade practice in the State of Jammu and Kashmir, no action can be taken against that practice or person/undertaking under the provisions of the MRTP Act. Again, provisions of the MRTP Act are not applicable to:

i) Trade unions and other associations of workmen. Thus, if workers resort to 'go-slow' practice or go on a strike, they cannot be booked under MRTP Act on the ground that the same is resulting in unjustified costs on the consumers and is therefore a monopolistic or restrictive trade practice.

ii) Undertakings owned or controlled by a government company or the government which are engaged in the production of arms and ammunition and allied items of defence equipment, defence aircraft and warships, atomic energy, minerals specified in the Schedule to the Atomic Energy Order.

iii) Industrial units under the Currency and Coinage Division of the Ministry of Finance. You cannot , therefore, book the Government of India for shortage of coins or currency notes under the Act.

However, it may be noted that the undertakings owned by government companies or by the Government other than those specified above are covered under the provisions of the MRTP Act. You can, therefore, file a case against Air India, Indian Airlines, Delhi Development Authority, Municipal Corporation or DTC and obtain relief against monopolistic, restrictive or unfair trade practices indulged by them, if any.

11.4 MRTP COMMISSION AND OTHER AUTHORITIES UNDER THE ACT

The Central Government, under power conferred on it under section 5 constituted MRTP Commission soon after the Act came into force in 1970. MRTP Commission is the most important authority under the Act, which shoulders the responsibility of implementation of the Act. The role of the Commission is to investigate and recommend action insofar as the checking of concentration of economic power and monopolistic trade practices are concerned. The final authority to pass necessary orders is the Central Government. But, Central government cannot pass an order unless the Commission has first recommended the same. However, MRTP Commission has the authority to inquire as well as pass final orders with respect to restrictive and unfair trade practices. The Orders of the Commission may include 'cease and desist order' (i.e., stop indulging into the alleged practice and do not indulge in future also), 'order for compensation', etc.

The MRTP Commission is to consist of a Chairman and not less than two and not more than eight other members. The Chairman should be a person who has been, or is qualified to be, a judge of the High Court or the Supreme Court. The members should be persons having experience in dealing with problems relating to economics, law, commerce, accountancy, public affairs or administration and should not have any financial or other interest likely to affect prejudicially their function as members.

The term of office of a member is fixed at 5 years subject to renewal, but the maximum period up to which such office can be held is 10 years, or untill a member becomes 65 years old at which, in any event he must give up his office. Section 6 further provides that on ceasing to hold such office as a member of the Commission, he shall not hold any appointment in or be connected with the management or administration of any industry or undertaking to which the MRTP Act applies. The disability shall last for a period of 5 years from the date on which he ceases to hold such office.

The Central Government may *remove* from *office* any member, who:

a) has been adjudged an insolvent, or

b) has been convicted of an offence which , in the opinion of the Central Government , involves moral turpitude, or

c) has become physically or mentally incapable of acting as such member, or

d) has acquired such financial or other interest as is likely to affect prejudicially his functions as a member, or

e) has so abused his position as to render his continuance in office prejudicial to the public interest.

In case of removal on the basis of (d) and (e) above, the Central Government has to follow the prescribed procedure. It has to refer the matter to the Supreme Court, whereupon the latter will make a relevant inquiry. On the recommendation of Supreme Court only, the Central Government can remove the member on these two grounds. In any other case, the Central Government can remove a member at its own discretion and without referring the matter to the Supreme Court.

It may be noted that the status of the MRTP Commission is that it is a quasi-judicial body. It has, therefore, been conferred with the powers of the civil court with respect to summoning of witnesses, examining them on oath, and requisitioning any public record from any court or office. Commission has also been vested with powers including granting temporary injunction (stay order), causing investigation as to whether its orders are being complied with, power to combine cases of a similar nature and pass a single order with respect to all of them.

In order to help the Commission, Central Government has appointed Director General of Investigation and Registration (DGIR) and other staff at various levels such as Additional, Joint, Deputy and Assistant DGIR. MRTP Commission is empowered to ask DGIR to make a preliminary inquiry into a complaint before proceeding in the matter. Besides, DGIR is responsible for not only reporting of monopolistic, restrictive or unfair trade practices but also is to register and de-register those restrictive trade agreements, which are required to be compulsorily registrable as per Section 33 of the Act.

11.5 CONCENTRATION OF ECONOMIC POWER

You have already noted that prevention of concentration of economic power is one of the objectives of the MRTP Act. Sections 27 and 27A constitute a weapon in the armoury of the Central Government to counter concentration of economic power which operates, or is likely to operate, to the common detriment. These Sections empower the Central Government to direct division of an undertaking and severance of inter-connection between undertakings respectively.

Division of an Undertaking

According to Section 27(1), the Commission may inquire into as to whether it is expedient in the public interest to make an order

a) for the division of any trade of the undertaking by the sale of any part of the undertaking or assets thereof, or

b) for the division of the undertaking or inter-connected undertakings into such number of undertakings as the circumstances of the case may justify.

The MRTP Commission shall initiate an inquiry in this regard :

i) upon receiving a complaint of facts from any trade association or from any consumer or a registered consumers' association, whether such consumer is a member of that consumers' association or not;

ii) upon a reference made to it by the Central Government or a State Government, or

iii) upon its own knowledge or information if it is of opinion that the working of an undertaking is prejudicial to the public interest or has led, or is leading , or is likely to lead, to the adoption of any monopolistic or restrictive trade practices.

The Commission may, after such hearing as it may think fit, report to the Central Government its opinion. Where it is of opinion that a division ought to be made, it shall specify the manner of the division and compensation, if any, payable for such division.

In case the Commission recommends division of undertaking(s), the Central Government may, by an order in writing, direct the division of : (i) any trade of the undertaking; or (ii) the undertaking or inter-connected undertakings.

Severance of Interconnected Undertakings

In the preceding paragraphs you would have noted that on a complaint from the persons specified under Section 27, the MRTP Commission may make an inquiry. If the Commission so recommends, the Central Government may pass the necessary orders with respect to division of any trade of the undertaking or division of the undertaking itself or any of its interconnected undertakings. But, sometimes the division, as aforesaid, may not be an adequate or the right remedy. Section 27A,therefore, empowers the Commission to also recommend, if it so deems fit, the severance of interconnection between two or more undertakings. Such a recommendation shall be made where, in its opinion, the continuance of interconnection of an undertaking with any other is detrimental to:

a) the interests of the principal undertaking; or

b) the future development of the principal undertaking; or

c) the steady growth of the industry to which the principal undertaking pertains; or

d) the public interest.

In case the MRTP Commission recommends severance of two or more interconnected undertakings, the Central Government may pass necessary orders.

Right of Appeal

The undertaking, against which order has been passed for division or severance, as the case may be, may appeal to the Supreme Court against such order of the Central Government.

11.6 MONOPOLISTIC TRADE PRACTICES (MTP)

11.6.1 Meaning and Definition

Monopolistic Trade Practice is defined under section 2 (i) of MRTP Act as a trade practice which has or is likely to have any of the following effects:

1) Limiting or controlling production, supply or distribution of goods or services and thereby maintaining price of goods or charge of service at unreasonable level.

2) Unreasonably preventing or lessening competition.

3) Limiting technical development or capital investment or allowing quality of goods or services to deteriorate.

4) Unreasonably increasing prices of goods or services.

5) Unreasonably increasing cost of production or charges for any services.

6) Unreasonably increasing profits on production, supply or distribution of goods or services.

7) Adopting unfair or deceptive methods to reduce or prevent competition.

11.6.2 Investigation into MTP by the MRTP Commission

The role of the MRTP Commission in regard to control of monopolistic trade practices is investigatory and advisory. The Commission, on initiation of an inquiry, merely investigates into the practice and submits its report to the Central Government. It is only the Central Government which is vested with the power to pass an appropriate order on receipt of the report from the Commission.

Any inquiry into a monopolistic trade practice can be initiated by the Commission:

i) on a reference made to it by the Central Government under Section 31;

ii) on its own motion;

iii) on an application made to it by the DGIR; and

iv) if during the course of its inquiry into restrictive trade practice, the Commission finds that the owner of any undertaking is indulging in monopolistic trade practice [Section 37(4)]

11.6.3 Powers of the Central Government

If the report of the Commission contains a finding that the owner of any undertaking is, or the owners of two or more undertakings are, indulging in any monopolistic trade practice, or that monopolistic trade practice prevails in respect of any goods or services, the Central Government may make any of the following orders:

a) prohibiting the owner of the concerned undertaking or the owner of the undertakings, as the case may be, from continuing to indulge in such monopolistic trade practice; or

b) Regulations of the production, storage, supply, distribution, or control of any goods by the undertaking, or the control or supply of any service by it and fixing the terms of sale (including the price) or supply thereof;

c) Prohibiting the undertaking from resorting to any act or practice, or from pursuing any commercial policy, which prevents or lessens, or is likely to prevent or lessen, competition in the production, storage, supply or distribution of any goods, or the provision of any services;

d) Fixing standards for the goods used or produced by the undertaking;

e) Declaring the making or carrying out of the specified agreement as unlawful;

f) Requiring any part to the specified agreement to determine or modify the agreement in the specified manner;

g) Regulating the profits earned from the production, storage, supply, distribution or control of goods or from the provision of any services; and

h) Regulating the quality of any goods produced on the service provided.

11.6.4 Exemptions for Patent, Licence and Exports

The Central Government does not have the power to pass an order with respect to any monopolistic trade practice being indulged by a patentee of a product or likewise the licensee under the patent. Thus, a patentee may insist upon the licensee not to sell the product below a certain price thereby increasing his profits unreasonably which is a monopolistic trade practice.

Again, an exporter may indulge in any monopolistic trade practice exclusively for the purposes of export.

11.6.5 Appeal Against Government's Orders

The final order passed by the Central Government in monopolistic trade practice is subject to an appeal before the Supreme Court. The appeal can be filed within 60 days from the date of the Order.

11.6.6 Monopolistic Practices Deemed to be Prejudicial to Public Interest

An important point to note about monopolistic trade practices is that every monopolistic trade practice is deemed to be prejudicial to public interest. Thus, a party claiming relief has to only

establish that the practice being indulged by the opposite party is a monopolistic trade practice; the adverse effect on public interest is not to be established. However, section 32 provides that in the following cases, a monopolistic trade practice shall not be deemed to be prejudicial to public interest:

a) Where such trade practice is expressly authorised by any enactment for the time being in force; or

b) Where the Central Government, by a written order, permits the owner of any undertaking to carry on any such trade practice.

The Central Government shall make such an order, if it is satisfied that any such trade practice is necessary:

i) to meet the requirements of the defence of India or any part thereof, or for the security of the State; or

ii) to ensure the maintenance of supply of goods and services essential to the community; or

iii) to give effect to the term of any agreement to which the Central Government is a party;

Check Your Progress 1

Note: i) Use the space given below for your answers.

ii) Check your answers with the sample answers given at the end of the unit.

1) State whether the following statements are true or false:

a) Every monopolistic trade practice is prejudicial to public interest.

b) No appeal can be preferred against the orders of the Central Government relating to monopolistic trade practice.

c) The role of the MRTP Commission in checking monopolistic trade practices is only recommendatory.

2) A manufacturer sells his products at a price ten times his cost of production. Is he guilty of indulging in a monopolistic trade practice?

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11.7 RESTRICTIVE TRADE PRACTICES

11.7.1 Meaning and Definition of Restrictive Trade Practice

The term 'restrictive trade practice' is defined under Section 2 (o).

The definition of restrictive trade practice given in Section 2 (o) has two parts – *the first part* is generic and *the second part* particularises certain practices.

According to the first part of the definition, a restrictive trade practice means a trade practice which has or may have the effect of preventing, restricting or distorting competition in any manner. According to this part of the definition, it is only where a trade practice has the effect, actual or probable, of restricting, lessening or distorting competition that it is liable to be regarded as a restrictive trade practice. If a trade practice merely regulates and thereby promotes competition, it would not fall within the definition of restrictive trade practice, even though it may be, to some extent, in restraint of trade.

The second part of the definition particularises two trade practices, viz.,

i) any trade practice which tends to obstruct the flow of capital or resources into the stream of production; and

ii) any trade practice which tends to bring about manipulation of prices, or conditions of delivery or to affect the flow of supplies in the market relating to goods or services in such manner as to impose on the consumers unjustified costs or restrictions.

It is essential to note that if a trade practice falls in any of these particularising categories, then it shall not be necessary to know as to whether that trade practice prevents, restricts or distorts competition. In other words, these two categories of trade practices are *ipso facto* restrictive; they need not pass the test of adverse effect on competition.

The following cases are illustrative of this point:

1) *R.R.T.A vs. Bata (India) Ltd.* (1975). In this case, Bata (India) Ltd., by agreement, prohibited-

   a) the manufacturers for them of footwear, from purchasing raw material and other components from parties other than those approved by them; and

   b) prevented the manufacturers from enlarging their production capacity without their approval or consent.

   The aforesaid agreement was held to be obstructive of the flow of capital or resources into the stream of production.

2) Similarly, in *re Sarabhai M. Chemicals Pvt. And Another* (1978), the foreign collaboration agreement by an Indian Manufacturer prevented the foreign collaborators not to sell package or manufacture any of the pharmaceutical products listed in the agreement for a period of 25 years in India.

   It was held to affect the flow into India of further and better know-how in manufacture of pharmaceuticals covered by the agreement.

3) Wholesale and retail trade association resorted to boycott of certain drugs manufactured by a reputed drug company for the reason that the company did not concede the requests for granting higher commission. It was held that such a boycott affected the flow of supply of drugs in the market (Glaxo's Case).

4) An LPG gas dealer by his conduct delayed the giving of the gas connection by 5 to 6 months to a consumer as to pressurise the customer indirectly to buy the gas stove at the time of releasing the new gas connection. There was no convincing defence for causing delay. Held, tie-up of the sale of gas stove along with releasing the new gas connection amounted to imposing unjustified cost or restriction on consumers and thus a restrictive trade practice.

5) Under utilisation of Capacity – Whether a restrictive trade practice.

   The Commission in the case of Gestetner India Ltd., has held that although under-utilisation of capacity may well result in the reduction in the flow of capital into the stream of production, the Commission could intervene only if there was some *mens rea* (guilty mind) on the part of the company.

6) Charging higher prices by pasting label. Seller pasting paper on marked price printed by manufacturer and charging higher price is a restrictive trade practice as it clearly amounts to manipulation of conditions of delivery and prices, which causes unjustified costs on consumers. It is clearly prejudicial to public interest [*DGIR vs. Chawla Bakers* (1996) 1 Comp. LJ 363].

11.7.2 Distinction between Monopolistic and Restrictive Trade Practices

In Registrar of Restrictive Trade Agreements vs. Gramophone Company of India Ltd., the MRTP Commission observed that a monopolistic trade practice may not necessarily also be restrictive trade practice. However, on reading of the two definitions one might find that the two are almost similar.

The similarities between monopolistic trade practices and restrictive trade practices were realised by the Monopolies Enquiry Commission whose recommendations resulted in the enactment of the MRTP Act. But the Commission insisted on maintaining the distinction and observed as follows :

"While monopolistic practice would also be a restrictive practice, we shall confine the words 'restrictive practice' to mean practices other than those pursued by monopolists which obstruct the free flow of capital or resources into the stream of production or of finished goods in the stream of distribution at any point before they reach the hands of the ultimate consumer."

On the analysis of the two practices, the following points of distinction may be noticed :

1) Authority to pass orders. Although the Central Government can make a reference to the Commission both in respect of a restrictive trade practice under Section 10 (b) as well as under Section 31 (1), the Commission alone can pass an order under Section 37 in respect of a restrictive trade practice and it is the Central Government alone which can make an order in respect of a monopolistic trade practice under Section 31 (3).

2) Who may refer? The reference in case of a restrictive trade practice can be made by a registered consumers' association, a trade association or any consumer. It may also be made by the Central Government or a State Government or the DGIR. Even the MRTP Commission may initiate an enquiry upon its own knowledge and information (suo moto). The reference in relation to monopolistic trade practice on the other hand, cannot be made by any trade association or a registered consumers' association or a consumer.

3) Scope of Orders. The powers of the Central Government in dealing with monopolistic trade practices include issuing orders, regulating production, supply, distribution or control, prohibiting any act, practice or commercial policy, fixing standards, declaring any agreement unlawful and even requiring any party to an agreement to determine the same. On the other hand, the scope of the orders which commission can pass after making enquiry into a restrictive trade practice is limited to a negative order of enjoining upon the person indulging in the restrictive trade practice to cease and desist from the alleged practice and to award compensation.

4) Presumption of Public Interest. In the case of restrictive trade practice, the presumption that it operates against public interest is rebuttable in terms of one or more circumstances enumerated in Section 38 (1) and the balancing test provided in the tailpiece therein. Insofar as the 'monopolistic trade practice' is concerned, no such defences are available. The plea that monopolistic trade practice is warranted to be continued because of, say, it is being beneficial to the consumers or users of goods or for preserving competition and fair dealing in trade or business, are not tenable. Unlike a restrictive trade practice, the monopolistic trade practice is violative of public interest.

11.7.3 Registrable Restrictive Practices

In the above discussion, you would have noticed that every restrictive trade practice or agreement is not necessarily bad and, therefore, actionable. It may sometimes be even in the public interest. However, Section 33 of the Act (as amended by the 1984 Amendment Act) states that every agreement falling within one or more of the following categories shall be

deemed, for the purposes of this Act, to be an agreement relating to restrictive trade practices and shall be subject to registration. The registrable agreements are :

a) *Refusal to Deal*, i.e., any agreement which restricts, or is likely to restrict, by any method the persons or classes of persons to whom goods are sold or from whom goods are bought. Thus, in the case of the *Director General (I&R) vs. M/s Nalli Silk Traders, Chennai*, the respondent advertised a reduction sale for a period of 4 days and prescribed an entry fee of Rs.25 per individual during the period of sale which amount was to be adjusted only against the purchase of articles and not otherwise refundable. According to the advertisement, the purchasing of entry coupons had already started ten days before the sale period. This was *prima facie* found to be restrictive trade practice under Sections 33 (1) (a) and 2 (o) of the MRTP Act and an *ex-parte* temporary injunction was issued restraining the respondent from taking the entry conditional on the payment of Rs.25 per head.

   The Act, however, does not prohibit by this clause the choice by a manufacturer or supplier of the customer to whom it could sell or from whom it could buy. The authorities enforcing the law are not empowered by the legislature to dictate upon the manufacturer or supplier the choice of customers

   Thus, where a trader refuses to trade with Mr. X for no justifiable reasons whatsoever X cannot compel the trader to deal with him.

b) *Tie-up Sales and Full-line Forcing,* i.e. any agreement requiring a purchaser of goods, as a condition of such purchase, to purchase some other goods. This clause relates to what is popularly known as tying arrangement. An agreement by a party to sell one product but only on the condition that the buyer also purchases a different product constitutes a tying arrangement. Thus, where a manufacturer of pressure cookers required the purchaser of pressure cookers, as a condition of such purchase, to purchase containers/separators along with the pressure cookers, it was held to be a restrictive trade practice [re. T.T. (P) Ltd.]. Similarly, in enquiry relating to the tying-up of the issue of new gas connection with the sale of gas stoves, tying arrangements was held to be restrictive and against public interest. The case in point related to M/s. Vayu Sainik Gas Agency, Khetri.

   Similarly, in another case a company which was selling scooters quoted its price as inclusive of the cost of the helmet and comprehensive insurance policy and gave no indication that the purchase of helmet or securing the insurance would be optional for the buyer of scooter. This was *prima facie* found to be a tie-up sale amounting to a restrictive trade practice under Sections 33 (1) (b) and 2 (o) of the MRTP Act.

c) *Exclusive Dealing* i.e. any agreement restricting in any manner the purchaser in the course of his trade from acquiring or otherwise dealing in any goods other than those of the seller or any other person.

   Thus, where a TV dealer agrees to stock only the products of BPL and no others, the practice shall fall under exclusive dealership.

d) *Concert in Prices and Terms and Conditions of Purchase or Sale*, i.e., an agreement to purchase or sell goods or to tender for the sale or purchase of goods only at prices or on terms or conditions agreed upon between the sellers or purchasers.

   Thus, all arrangements or understandings between manufacturers or suppliers of goods which tend to obstruct competition may come within the purview of this clause. Almost all types of cartels are covered by this clause. Be that 'price-cartel' whereby the sellers

agree on certain prices or a 'quota-cartel' whereby the suppliers agree among themselves to allocate certain share of the market to each, all such arrangements shall amount to restrictive trade practice and a cease and desist order issued by the Commission if they tend to distort or otherwise restrict competition.

In *Madras Jewelers and Diamonds Merchants Association in re*, (1994), the Association had passed resolutions to the effect that the members of the association engaged in the trade of jewellry were not to sell jewellry at a price lower than the daily rates announced by the Association. The Commission held that such a clause would amount to a restrictive trade practice. Accordingly, a cease and desist order was passed by the Commission.

Whether Uniformity in the actions of competitors amounts to restrictive trade practice?

Although similar actions simultaneously taken by all the suppliers may not amount to collective agreement, where proof exists that parallel actions of suppliers are a conscious act to bring about uniformity or harmonization of marketing practices, such parallel actions may amount to collective agreement. In a given situation, MRTP Commission held in *re Hindustan Times Ltd.* that it shall depend on the following factors:

How pervasive is the uniformity? How long has the uniformity continued? What is the time lag, if any, between a change by one competitor and that of the other or others? Is the product involved homogeneous or differentiated? Can the product, no matter how uniform, be adequately explained by independent business justification? On answers to questions like these, depend the weight to be accorded to parallel action in any given case.

e) *Discriminatory Dealings*, i.e., any agreement to grant or allow concessions or benefits, including allowance, discount, rebate or credit in connection with or by reasons of dealings. The clause envisages granting of concessions or benefits including the allowance of discounts or rebates on a discriminatory basis. The practice of allowing discriminatory or differential incentive bonus/discount based on a larger turnover both in case of wholesale dealers as well as dealers is a restrictive trade practice as it would reduce the opportunities of smaller wholesale dealers not being able to compete with the bigger ones and that this 'may have' the effect of preventing, or at any rate distorting and reducing competition (*RRTA vs.Carona Sahu Ltd.*). Similarly, payment of differential discounts and commissions based on quantum of sale is a restrictive trade practice under clause (e) [*DGIR vs. Bajaj Tempo Ltd.* (1997) 24 CLA 132].

f) *Re-sale Price Maintenance*. The expression 'Re-sale Price Maintenance' denotes a practice whereby the producer or supplier requires the buyer that the goods sold to him should be resold only at prices stipulated by the producer or supplier. Re-sale at a specified fixed price, whether minimum or maximum, falls under clause (f) and would be a restrictive trade practice unless it is clearly stated that prices lower than those prices (as stipulated by the seller) may be charged.

g) *Territorial restriction/Restricting or withholding of output or supply,* i.e., any agreement to limit, restrict or withhold the output or supply of any goods or allocate any area of market for the disposal of the goods. This clause refers to two types of trade practices, viz., (a) limiting, restricting or withholding the supply of goods and (b) allocation of area or market.

Thus, in *Imperial Radio and Gramophone Co. vs. Pieco Electronics* (1996) supplier was directed not to prevent dealers from selling goods in any particular area.

h) *Controlling Manufacturing Process*, i.e., any agreement not to employ or restrict the employment of any method, machinery or process in the manufacture of goods.

Thus, where Bata, engaged in the manufacture of leather and rubber canvas footwears, entered into agreement with small-scale manufacturers for purchase of footwears, to be sold by it under its own brand. The agreement prohibited these manufacturers from purchasing raw material and components from parties other than those approved by Bata. It also required them to use the moulds sold/supplied by Bata exclusively for manufacturing footwear for Bata's requirement. The Commission held these conditions imposed by Bata as restrictive trade practice and prejudicial to the public interest.

i) *Boycott*, i.e. any agreement for the exclusion from any trade association of any person carrying on or intending to carry on, in good faith the trade in relation to which the trade association is formed.

In *Bhiwadi Manufacturers' Association vs. Truck Operators Association, Bhiwadi* (decided on 24th December, 1992) the MRTP Commission happened to consider in an enquiry, the following allegations against the Truck Operators Association, namely:

i) not allowing truck operators who were not members of the association to lift the goods from Bhiwadi;

ii) trucks coming from outside not being allowed to take any goods from Bhiwadi but sent back empty.

iii) Carrying goods on one's own truck allowed only after obtaining permission slip from the association and after payment of a certain amount of money; and

iv) Not allowing non-members of the association to lift the goods.

The Commission came to the conclusion that the above stipulations were clearly preventing or distorting competition among the truck operators. The compulsory extraction of money for issue of the permission slip was also highly restrictive. So, the commission held the practice to be hit by Section 33 (1) (i) of the MRTP Act and passed a cease and desist order.

j) *Predatory pricing*, i.e., any agreement to sell goods at such prices as would have the effect of eliminating competition or competitors. Thus, where in *Modern Food Industries, re* (1996), it was held that it requires to be established that the pricing below cost was with intention to drive competitor out of business or to eliminate competition. Mere offer of a price lower than cost of production cannot automatically lead to an indictment of predatory pricing.

k) *Restrictions on Class/Number of Suppliers from whom goods may be bought*, i.e., any agreement restricting in any manner, the class or number of wholesalers, producers or suppliers from whom any goods may be bought. This clause was inserted by the MRTP (Amendment) Act, 1984. Prior to this amendment, agreements of this nature were treated as falling under clause (a) i.e., as an agreement which restricts or is likely to restrict, by any method, the persons or classes of persons to whom goods are sold or from whom goods are bought.

l) *Abstinence from bids in auction*, i.e., any agreement as to the bids which any of the parties thereto may offer at an auction for the sale of goods or any agreement whereby any party thereto agrees to abstain from bidding at any auction for the sale of goods.

m) *Any Agreement not here-in-before referred to in this Section which the Central Government may, by notification in the Official Gazette, specify for the time being* as being one relating to a restrictive trade practice within the meaning of this sub-section pursuant to any recommendations made by the Commission in this behalf. This is a residuary clause. It has been inserted to enable the Central Government, on the recommendations of the Commission, to include by a notification in the Official Gazette, any other restrictive trade practice not already listed under Section 33 (1).

n) *Agreement to enforce the carrying out of any such agreement as is referred to in this section.* The object of this clause is to require the registration of even an agreement which, though by itself, does not relate to restrictive trade practice, but which seeks to enforce any agreement relating to any of the restrictive trade practices enumerated above.

Service Agreement

Sub-section 2 of Section 33 provides that service agreements are covered in the same way as agreements relating to production, supply, distribution or control of goods under the provisions of Section 33 (1) noted above.

11.7.4 Exempted Agreements

The following restrictive trade practices are outside the purview of the MRTP Act:

a) Those which take place in the State of Jammu and Kashmir;

b) Trade practices of undertakings owned or controlled by a government company or the government and engaged in the production of arms and ammunition and allied items of defence equipment, defence aircraft and warships, atomic energy, minerals specified in the Schedule to the Atomic Energy Order, 1953 and industrial units under the Currency and Coinage Division of the Ministry of Finance;

c) restrictive trade practices indulged by trade unions and other associations of workmen or employees;

d) restrictive trade practices necessary to safeguard the rights of patentees under the Indian Patents Act in regard to certain infringements and in regard to conditions they may lay down in licences.

e) restrictive trade practices relating exclusively to the production, supply, distribution or control of goods for export;

f) restrictive trade practice as a result of any agreement between buyers relating to goods bought by them for their own consumption;

g) those expressly authorised by law/Central Government,

h) where Government is a party to the agreement.

i) restrictive trade practices which under Section 38 are presumed to be in public interest. Such practices include :

   i) a practice which is necessary to protect the public from injury that may result from consumption, installation or use of those goods. Thus, sale of insulin only through the listed wholesale dealers who were competent to handle insulin was held not amounting to restrictive trade practice.

   ii) Where the removal of the restriction is likely to result in loss of specific and substantial benefits to the purchasers or users. Thus, a directive by the *Motion Pictures Association* to its members not to deal with non-members was allowed as dealings with members only, it was felt, would help in speedy resolution of disputes and thereby positive benefits to film viewers.

   iii) Where the purchasers or sellers join hands to counteract measures of the opposite party or to negotiate fair terms against a monopolist.

   iv) where the removal of restrictions is likely to result in loss or reductions in employment of labour or capital.

   v) Where the removal of restriction is likely to result in loss or reductions of export earnings in terms of reduced volumes or prices.

vi) Where restriction is reasonably necessary for any of the aforesaid purposes.

vii) Where restriction is not likely to affect competition materially, e.g., minor quantity discounts.

viii) Where such restriction has been expressly authorised and approved by the Central Government.

ix) Where such restriction is necessary to meet the requirements of the defence of India or any part thereof or for the security of the state.

x) Where the restriction is necessary to ensure the maintenance of supply of goods and services essential to the community.

11.7.5 Inquiry into Restrictive Trade Practices

Sections 35 provides that every agreement relating to restrictive trade practice must be registered. A certified true copy of the agreement and if the agreement is not in writing a memorandum containing the terms and conditions of the agreement must be furnished to the Director General within 60 days of the making of the agreement. In case any changes are made in the agreement, the same shall be furnished to the Director General within one month.

Section 37 empowers the MRTP Commission to inquire into any restrictive trade practice whether the agreement, if any, relating to the practice has been registered under Section 35 or not. The Commission may inquire into the practice on its own initiative or in response to specific complaints by consumer/(s) or consumers' association, or on a reference made by Central or State Government, or on an application made by the Director General.

The Commission will find out whether the said trade practice comes under the definition of the restrictive trade practice and if so, whether the practice is prejudicial to the public interest. Under such circumstances, the Commission may, by order, direct that:

a) the practice shall be discontinued or shall not be repeated (i.e., pass a cease and desist order); and

b) the agreement relating thereto shall be void in respect of such restrictive trade practice or shall stand modified in such manner as may be specified in the order.

In case the undertaking agrees to modify or delete the offending parts of the agreement or understanding or practice within a specified time and the remaining parts of the agreement are no longer prejudicial to the public interest, the Commission may not make any order under this Section in respect of the trade practice.

11.7.6 Powers of the MRTP Commission

MRTP Commission is vested with the following powers in respect of restrictive trade practices.

a) The power to issue temporary injunctions, i.e., stay order, that is directing the undertaking to stop indulging in the practice complained of till further orders;

b) The power to issue 'cease and desist' order, i.e., directing the undertaking to stop indulging in the alleged practice and refrain from indulging in future;

c) The power to award compensation for the loss or damage caused to the applicant by reason of the restrictive trade practice;

d) The power to enforce its orders as if it were a decree or order of the Court;

e) The power to subject its order to any conditions, it deems fit, e.g., directing the undertaking to issue corrected advertisement.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your answers with the sample answers given at the end of the unit.

1) State whether the following practices can be termed as restrictive trade practices.

a) A blade manufacturer enforcing the sale of its razors and shaving cream

b) A scooter dealer insisting on taking insurance cover through him at the time of purchase of scooter.

c) A TV manufacturer enforcing the sale of TV antenna.

2) What is the time limit and with whom an agreement relating to restrictive trade practices' is required to be filed?

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3) Bata Shoes Ltd., insists that its suppliers must use a particular brand of machine and must purchase raw materials only from the listed sources. Bata Ltd. maintains that it is necessary to maintain uniformity. Do you think Bata Ltd. is indulging in a restrictive trade practice?

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4) 'Cease and desist' order issued by the Commission means that the Commission can dispossess the undertaking of the goods subject to restrictive trade practice.

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11.8 UNFAIR TRADE PRACTICES

MRTP Act 1969 did not have anything on unfair trade practice till 1984. It was only in 1984 that, based on the recommendations of Sachar Committee Report, a new chapter was added in this regard.

11.8.1 Meaning and Definition of Unfair Trade Practice

Section 36 A defines an 'unfair trade practice' to mean a trade practice which for the purpose of promoting the sale, use or supply of any goods or for the provisions of any service, adopts any unfair method or unfair or deceptive practice including any of the following practices.

1) Misleading advertisement and false representation including falsely representing that

i) the goods or services are of a particular standard, quality, grade, quantity, style;

ii) the rebuilt or old goods are new goods;

iii) the manufacturer of goods have sponsorship they do not have;

iv) the need for or usefulness of goods/services;

v) the goods are subject to warranty;

vi) the goods of the competitor(s) are inferior goods, that is, disparaging goods, of another person.

Thus, a claim of the Kelvinator India that their 150 cc scooter was being manufactured in technical collaboration with Garelli of Italy was held to be an unfair trade practice since on enquiry no such collaboration could be established.

Similarly, the *Accupressure Therapy Health Centre's* claim that their sandals had been approved by World Health Organisation, whereas WHO denied even having received any application on the subject, the MRTP Commission held the undertaking guilty of indulging in an unfair trade practice.

Again, the Kinetic Honda advertisement 'Buy Kinetic Honda, buy peace of mind' was held to be disparaging in as much as it meant that the competing products were likely to give problems and sleepless nights.

2) Bargain sale, bait and switch selling

Where a sale is described to be a bargain sale but the effective discount is very small, the practice shall be an unfair trade practice. Similarly, an advertisement offering, say, discount upto 70% shall be considered as a bait if the most of the items carry a very small discount, say 10%.

3) Offering Gifts or Prizes with the intention of not providing them and conducting Promotional Contests

This includes :

a) Offering gifts, prizes or other items with the intention of not providing them as offered or creating the impression that something is being given or offered free of charge when it is fully or partly covered by the amount charged in the transaction as a whole. Thus, offering gifts is not an unfair trade practice but not giving gifts or covering the price of the gift in the price of the goods, wholly or partially, is an unfair trade practice.

b) Conducting any contest, lottery, game of chance or skill, for the purpose of promoting directly, or indirectly, the sale of a product or any business interest.

However, the MRTP Commission in the matter of *Lakhanpal National Limited* held that every business promotional scheme, is *per se* an unfair trade practice but to pass a cease and desist order prejudice to public interest would have to be affirmatively proved. Prejudice could not be presumed to exist in the unfair trade practice itself.

4) Product Safety Standards

Where certain safety standards are prescribed by some authority with respect to any goods, the production or sale of such goods without conforming to such standards amounts to unfair trade practice. Thus, if helmets are sold without ISI marking or without conforming to ISI standards, it will be an unfair trade practice.

5) Hoarding or Destruction of Goods

Hoarding or Destruction of goods is an unfair trade practice since it not only puts the buyers into inconvenience but they are made to pay artificially increased price.

11.8.2 Inquiry into an Unfair Trade Practice

Under Section 36-B, the MRTP Commission is empowered to enquire into any unfair trade practice in the following circumstances :

a) upon receiving a complaint of facts which constitutes such practice from any trade association or from any consumer or a registered consumers' association, whether such consumer is a member of that consumers' association or not; or

b) upon a reference made to it by the Central Government or a State Government; or

c) upon an application made to it by the Director General; or

d) upon its own knowledge or information.

11.8.3 Powers of the Commission

The Commission may inquire into any unfair trade practice which may come before it for inquiry. If, after such inquiry, the Commission is of the opinion that the practice is prejudicial to the public interest, or prejudicial to the interest of any consumer or consumers generally, it may, by order, direct that

a) the practice shall be discontinued or shall not be repeated (that is, pass a cease and desist order);

b) any agreement relating to such unfair trade practice shall be void or shall stand modified in respect thereof in such manner as may be specified in the order;

c) any information, statement or advertisement relating to such unfair trade practice shall be disclosed, issued or published, as the case may be, in such manner as may be specified in the order.

The Commission may, instead of making any order as aforesaid, permit any party to carry on any trade practice, if it so applies and takes such steps within the time specified by the Commission as may be necessary to ensure that the trade practice is no longer prejudicial to the public interest or to the interest of any consumer generally, and, in any such case, if the Commission is satisfied, that necessary steps have been taken within time so specified, it may decide not to make any order under this Section in respect of that trade practice.

Without prejudice to the provisions of Section 12 A, Section 12 B and Section 36D, the Commission, Director General or any other person authorised in this behalf by the Commission or Director General, may exercise or perform, in relation to any unfair trade practice, the same power or duty which it or he is empowered or, required by or under this Act to exercise, or perform, in relation to a restrictive trade practice.

Check Your Progress 3

Note: i) Use the space given below for your answers

ii) Check your answers with the sample answer given at the end of the unit.

1) When does an offer of gift or prize constitute an unfair trade practice?

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2) ABC Ltd. sells its TV sets at Rs.10,000/- per set in the month of March. It starts selling the same for Rs.12,000/- with gifts of a two-in-one in the month of April. There is also an increase in the excise duty imposed by the Government.

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3) A Company manufacturing scooters advertised that the scooter manufactured by it gives a guaranteed 40 km. per litre and even more, when in actual practice the scooter does not give any more than 30 km. per litre.

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4) A TV manufacturing company adopts latest art technology of a Japanese Company and the TV sets manufactured by the company carry chrome circuits giving noiseless colour reproduction from the Japanese Company. The Company advertises that it has a foreign collaboration. Does the issue of such an advertisement tantamount to an unfair trade practice?

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11.9 LET US SUM UP

MRTP Act was enacted in 1969 with the object of checking the concentration of economic power and the monopolistic and restrictive trade practices. In 1984, its scope was enlarged to include to check unfair trade practice. The Act applies to whole of India except the State of Jammu and Kashmir. The Act, however, does not apply to trade unions and other associations of workmen. Again, it does not apply to government owned or government company owned undertakings which are engaged in the production of arms and aminunitions and allied items of defence equipment, defence aircraft and warships, atomic energy and specified atomic energy minerals. Further, industrial units under currency and Coinage Division of Ministry of Finance are also exempted.

MRTP Commission is the administrative authority constituted under the Act. It has only a recommendatory role with respect to checking of concentration of economic power and monopolistic trade practices. But, with respect to restrictive and unfair trade practices all powers, including the power to award compensation vests in the MRTP Commission.

A monopolistic trade practice can be inquired into by the MRTP Commission on a reference made to it by the Central Government or DGIR or even on its own motion. Central Government may take action on the recommendations of the MRTP Commission. However, no action can be taken against the patentee licensee of a product for indulging in any monopolistic trade practice. Similarly, where an exporter indulges in any monopolistic trade practice for the purpose of exports, no action can lie. Again, no action can be taken where a monopolistic trade practice is expressly authorized by any law or unless the Central Government has permitted such practices.

A restrictive trade practice may be inquired into by the MRTP Commission on a reference made to it by the Central Government, State Government, DGIR, any trade association, a registered consumers' association, the consumer or suo moto.

Under Section 33 certain restrictive trade practices have been enumerated which have to be registered with the DGIR. These include practices like refusal to deal, tie-up sales, exclusive dealing, price or quota cartels, discriminatory dealings, re-sale price maintenance, territorial restrictions, controlling manufacturing process, boycott, selling at a loss.

However, Section 38 provides that a restrictive trade practice shall be permissible if it can be shown that the restriction is in public interest. A restriction shall be considered to be in public interest : (I) where it is meant to protect the public against injury, or (ii) the removal of the restrictions will result in denial of certain benefits to the public, or (iii) where such restriction is necessary to deal with a monopolist or (iv) to secure fair terms, or (v) where the removal of

the restrictions will affect the employment or export earnings adversely, or (vi) the restriction does not affect competition materially, or (vii) is authorised by the Central Government, or (viii) it is necessary for the defence requirements or security of state, or (ix) for maintenance of supply of essential goods.

Unfair trade practice includes issue of misleading advertisement and making of false representations regarding quality, quantity, price, value, warranty, collaboration, sponsorship, etc. besides, falsely claiming a sale to be a bargain sale or offering gifts without any intention of providing them or charging for a gift though declared, free or conducting prize contests/ lotteries also amounts to unfair trade practice. Again, Section 36 A declares that sale of products not conforming to prescribed safely standards or the practice of hoarding or destruction of goods with a view to keep the price high shall also be unfair trade practices.

MRTP Commission is fully empowered to deal with unfair trade practices. It may make an inquiry into any alleged unfair trade practice as well as pass the appropriate order. An inquiry can be initiated on a reference by any of the persons who are allowed to make reference with respect to restrictive trade practice.

11.10 KEY WORDS

Genesis : Origin

Tenets : guiding principles

Detriment : loss

Lessen : to reduce

Prima-facie : on the face of it

Pre-datory pricing : selling below cost

11.11 SOME USEFUL BOOKS

Gulshan S.S., *Consumer Protection and Satisfaction* (1998), M/s. New Age Publishers, New Delhi.

Kapoor G.K., *MRTP Act (1998)*, M/s Sultan Chand & Sons, New Delhi

11.11 ANSWERS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) a) 'True' – except under certain circumstances mentioned under Section 32.

   b) 'False' – Appeal can be preferred with the Supreme Court.

   c) 'True' – The authority to take action vests with the Central Government.

2) 'Yes' he is guilty of indulging in a monopolistic trade practice. Increasing profits unreasonably is a monopolistic trade practice as per section 2 (i) of the MRTP Act.

Check Your Progress 2

1) (a), (b) and (c) Yes, all these amount to tie-up sales.

2) 60 days, with the Director General

3) Yes, it amounts to control of manufacturing process and is a restrictive trade practice under Section 33.

4) No, it means the undertaking is asked to stop indulging in the alleged restrictive trade practice and also refrain from indulging in future.

Check Your Progress 3

1) When the gift or prize is refused or when the price of the goods covers the price of the gift wholly or partially.

2) It shall amount to an unfair trade practice under Section 36A (3) unless ABC Limited can prove that the increase in the price of the TV sets was due to increase in the cost of production or fresh excise duty.

3) It is a false claim as to the performance/quality of the goods offered for sale and thus an unfair trade practice.

4) Yes, it is an unfair trade practice being a false representation as to collaboration.

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UNIT 12 ACTS ON BANKING, INSURANCE AND FINANCIAL SERVICES

Structure

12.0 Objectives

12.1 Introduction

12.2 Acts Relating to Banking

- 12.2.1 The Reserve Bank of India Act, 1934
- 12.2.2 The Banking Regulation Act, 1949
- 12.2.3 The Negotiable Instruments Act, 1881
- 12.2.4 The Banker's Books Evidence Act, 1891
- 12.2.5 The State Bank of India Act, 1955
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12.3 Others Acts Relating to Banking Finance

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12.4 Acts Relating to Insurance

- 12.4.1 Insurance Act, 1938
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- 12.4.3 The General Insurance Business (Nationalisation) Act, 1972
- 12.4.4 Public Liability Insurance Act, 1991
- 12.4.5 The Insurance Regulatory Authority Bill, 1998

12.5 Let Us Sum Up

12.6 Some Useful Books

12.7 Answers to Check Your Progress Exercises

12.0 OBJECTIVES

In the earlier units you have noticed that the definition of 'service' as contained in Section 2 (1)(o) of the Consumer Protection Act, 1986 includes the provision of facilities in connection with banking, financing, insurance, transport etc. In the present unit we are concerned with the services relating to banking, financing and insurance. As you will see, the Consumer Protection Act, 1986 has not defined the meaning and scope of banking, insurance and financial services. We have therefore to see their meaning in the various Acts which regulate the business relating to these services. This would mean that we have to examine the various Acts in force relating to these services. By acquainting yourself with the broad provisions contained in these Acts you will become familiar with these legislations and the provisions relating to these services.

12.1 INTRODUCTION

There are several Acts in our country relating to banking, insurance and financial services which we shall deal with in this unit. We shall, however, consider the Acts which are relevant from the point of view of the Consumer Protection Act, 1986.

12.2 ACTS RELATING TO BANKING

12.2.1 The Reserve Bank of India Act, 1934

The purpose of this Act is to constitute the Reserve Bank of India to regulate the issue of bank notes and for keeping reserves of money in order to secure monetary stability in India and generally to operate the currency and credit system of the country to its advantage.

Under this Act the Reserve Bank of India came into existence w.e.f. 1st July 1935 with an initial capital of Rs. 5 crores. This Bank has its office branches and agents in various parts of the country including the four major cities of Mumbai, Calcutta, Delhi and Chinnai. The affairs of this bank including its business is entrusted to a Central Board of Directors consisting of a Governor, upto four Deputy Governors and other directors and officials nominated by the Central Government. Local Boards have also been constituted for the four cities. There are provisions in the RBI Act as to the disqualifications of the members of the Central Board, its meetings, vacancies and removal from office. The Act also deals with business which the bank may transact. Essentially the RBI acts as the banker to the Central Government and State Governments. It can accept money from the Central Government, State Governments, local authorities, banks and can purchase and sell and rediscount bills of exchange and promissory notes drawn and payable in India. It can purchase from and sell to scheduled banks foreign exchange, make available loans, advances to scheduled banks or State Co-operative banks, State financial corporations, any financial institutions and other corporations and development banks as provided in the Act itself.

The Bank is prohibited from engaging in any trade or having a direct interest in any commercial, industrial or other undertaking except interest acquired in the course of satisfaction of its claims. It cannot purchase shares of any other bank or company nor grant loans upon the security of such shares. The Central banking functions include acting as banker to the Central Government. It has the right to transact Government business as also the business of any State by agreement. It has the exclusive right to issue bank notes in India and currency notes of the Government. The issue of bank notes is conducted through an issue department which is separate from the banking department. The Central Government will specify the denomination of notes which can be issued by the bank. The bank notes issued are legal tender and are guaranteed by the Central Government. The bank will not reissue notes which are torn, defaced or excessively soiled. The bank is not liable to pay stamp duty on notes issued by them. Every bank included in the schedule to RBI Act shall maintain cash reserves with RBI. It is the duty of the RBI to publish every fortnight a consolidated statement showing the aggregate liabilities and assets of all scheduled banks based on the return and information received from them under the Act. The bank also has the duty to collect and furnish credit information relating to amounts granted by a banking company to borrower, nature of security taken from any borrower, guarantees furnished by banking company, credit worthiness of any borrower or any other information relevant for regulation of credit or credit policy. It has power to call for returns from the bank containing credit information. It also has provisions relating to non banking institutions which receive deposits from the public. The RBI is exempted from Income Tax and Super Tax. It has to prepare and transmit to the Central Government weekly

returns pertaining to issue department and banking department. The Central Board of RBI has the power to make regulations in regard to its affairs for attaining the objects of the RBI Act. The first schedule of the Act contains the distribution of areas in the north, south, east and west over which the bank has jurisdiction. The second schedule contains the list of banks who are required to keep cash reserves with the RBI.

12.2.2 The Banking Regulation Act, 1949

This Act contains the basic provisions relating to the law of banking. Banking in this Act has been defined as follows :

"Banking" means the accepting, for the purpose of lending or investment of deposits of moneys from the public, repayable on demand or otherwise and which can be withdrawn by cheque, draft order or otherwise. 'Banking company' means any company which transacts business of banking in India. This Act deals with the business which the banking company may engage in such as borrowing, raising, lending money upon security. It includes accepting for discounting bills of exchange, hundies, promissory notes, coupons, drafts, bills of lading, railway receipts and other negotiable instruments. It can act as agent for any Government, any local authority, managing public issues carry on guarantee and indemnity business undertaking, trusts, administration of estates. It is prohibited from doing any kind of trading except in realisation of security. The Act has provisions as to constitution of Board of Directors of a banking company, management of a banking company, power of RBI to appoint a Chairman of a banking company, requirement as to paid up capital and reserve to be maintained by banking company, restriction on payment of dividend, prohibition of floating charge on assets, requirement as to maintenance of reserve funds, cash reserves, restriction on nature of subsidiary company's, loans and advances and on power to remit debts. The RBI has power to control advances by a banking company, issue licenses for setting up banking company, transfer of existing, place of business by a bank, calling for returns and information from banking company, inspection of banking companies through RBI officers, power of RBI to give directions in public interest and in the interest of banking policy. The RBI has ultimate control over the functioning of the banking company and its management. The Central Government has power to acquire undertakings of banking company in certain cases or in the interest of depositors or banking policy. The Central Government can also make claims in consultation with RBI for the reconstruction of banking company, the Central Government may constitute a tribunal for resolving questions of acquisition of banks. There are provisions in the Act relating to suspension of business and winding up of banking company by the High Court. The Central Government also has powers to regulate certain operations of banking company such as preservation of records, payment to customers and depositors, change in the name of banking company, alteration in its charter.

12.2.3 The Negotiable Instruments Act, 1881

This Act defines and amends the law relating to promissory notes, bills of exchange and cheques which have bearing on the business of banking and also in relation to the business operations relating to insurance and financial services. It lays down the provisions governing the law relating to promissory notes, bills and cheques, their negotiation, presentment, payment and interest, discharge from liability. notice of dishonour, noting and protest, reasonable time, acceptance and payment for honour and reference in case of need, compensation, rules of evidence, crossed cheques, bills in sets, international law. It also deals with penalties and launching of prosecution in case of dishonour of certain cheques for insufficiency of funds in the account. A knowledge of the provisions of this Act would be material in appreciating the scope of banking services.

12.2.4 The Banker's Books Evidence Act, 1891

This Act deals with the law of evidence with respect to banker's books. It provides that a certified copy of any entry in a banker's book shall in all legal proceedings be received as prima facie evidence of the existence of such entry and shall be admitted as evidence of the matters, transactions and accounts therein recorded as the original entry itself. It is open to the Judge or a court to ask for the production of a bank officer to produce the certified copies of entries in banks books. The court can also direct inspection of the books of a bank on application by a party to a proceeding and also allow costs incurred by the bank.

12.2.5 The State Bank of India Act, 1955

This Act was passed to constitute a State Bank of India and to transfer to it the undertaking of the Imperial Bank of India which was in existence earlier and to provide for other matters connected therewith or incidental thereto. The State Bank can act as agent of the RBI at all places in India where it has a branch. In addition the State bank can carry on the business of banking as defined in the Banking Regulation Act, 1949. The State Bank is also subject to the provisions in the Act and is under the control of RBI and the Central Government.

12.2.6 The State Bank of India (Subsidiary Banks) Act, 1959

This Act was passed to provide for formation of certain Government or Government associated banks as subsidiaries of the State Bank of India and for the constitution, management and control of the subsidiary banks so formed and for incidental matters. The provisions of the Act control the functioning and regulation of the subsidiary banks under the State Bank of India.

Check Your Progress 1

Note : i) Use the space given below for your answers.

ii) Check your answers with the model answers given at the end of this unit.

1) What activities are prohibited for Reserve Bank of India?

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2) What do you understand by Banking?

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12.3 OTHER ACTS RELATING TO BANKING FINANCE

12.3.1 The State Financial Corporation Act, 1951

The State Financial Corporation Act, 1951 provides for the establishment of State Financial Corporation for carrying out the business of guaranteeing loans received by industrial concerns, underwriting, issue of shares, acting as agent for the central government or the state

governments or the financial institutions, subscribing to shares, granting loans or advances to industrial concerns upto the limits prescribed under the Acts. There are provisions in the financial corporation to take over a defaulting unit or for enforcing a claim by proper application before the District Judge and for realising its dues as arrears of land revenue.

12.3.2 The Industrial Development Bank of India Act, 1964

This Act was passed to establish the IDBI as the principal financial institution for the co-ordination in conformity with national priorities, the working of institutions engaged in financing, promoting or developing industries, for assisting the development of such institutions for providing credit and other facilities for the development of industry and for matters connected therewith.

12.3.3 The Small Industries Development Bank of India Act, 1989

The SIDBI Act, 1989 was passed to set up SIDBI as the principal financial institution for the promotion, financing and development of industry in the small scale sector and to co-ordinate the functions of the institutions engaged in the promotion, financing or developing industry in the small scale sector.

12.3.4 The Regional Rural Bank Act, 1976

This Act was passed to provide for the incorporation, regulation and winding up of Regional Rural Banks with a view to developing the rural economy by providing for the purpose of development of agriculture, trade, commerce, industry and other productive activities in the rural areas, credit and other facilities, particularly to the small and marginal farmers, agricultural labourers artisans and small entrepreneurs.

12.3.5 The Export and Import Bank of India Act, 1981

This Act was passed to set up Export and Import Bank of India for providing financial assistance to exporters and importers and for functioning as the principal financial institution for coordinating, the working of institutions engaged in export and import of goods and services with a view to promoting country's international trade.

12.3.6 The Industrial Investment Bank of India Act, 1984

This Act was passed to provide for the establishment of Industrial Investment Bank of India to function as the principal credit and reconstruction agency for industrial revival and to coordinate similar work of the other institutions engaged therein and to assist and promote industrial development, and to rehabilitate industrial concerns. The name of the Bank was earlier Industrial Reconstruction Bank of India but was subsequently changed by an amendment of the Act.

12.3.7 The Unit Trust of India Act, 1963

The UTI Act, 1963 was passed to set up the UTI with a view to encouraging saving and investment and participation in the income, profits and gains accruing to the UTI from the acquisition, holding management and disposal of securities. The capital of the UTI has been contributed by the RBI, LIC, SBI and other Banks and financial institutions. The UTI transacts the business of selling and purchase of units, investment in securities, granting loans, dealing in bills of exchange, merchant banking and operates several schemes and plans in which the public subscribe.

12.3.8 Bank Nationalisation Acts of 1970 and 1980

By virtue of the above Acts several banking Companies were nationalised by the Government and made subject to the provisions contained in these Acts. These Acts are better called Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970 and of 1980.

12.3.9 The Recovery of Debts Due to Banks and Financial Institutions Act, 1943

Under this Act several Tribunals have been established in various cities for expeditions, adjudication and recovery of debts (Rs. 10 lacs and above) due to banks and financial institutions. Appeals from these Tribunals lie before Appellate Tribunals.

12.3.10 National Bank for Agricultural and Rural Development Act, 1981

This Act was passed to establish a bank known as National Bank for Agriculture and Rural Development for providing credit for the promotion of agriculture, small scale industries, cottage and village industries handicrafts and other rural crafts and other allied economic activities in rural areas with a view to promoting integrated rural development and securing prosperity of rural areas.

12.3.11 National Housing Bank Act, 1987

This Act was passed to establish a bank to be known as the National Housing Bank to operate as a principal agent to promote housing finance institutions both at local and regional levels and to provide financial and other support to such institutions.

12.3.12 The Banking Ombudsman Scheme Act, 1995

With effect from 14.6.95 the Reserve Bank of India in exercise of the powers vested in it by Section 35A of the Banking Regulation Act, 1949 provided for the system of Banking Ombudsman for redressal of grievances against deficiency in banking services concerning loans and advances and other specified matters. The Reserve Bank directed that all Commercial Banks and scheduled primary Cooperative Banks should comply with the Banking Ombudsman Scheme 1995. The Scheme applies to all commercial banks including foreign banks but does not apply to regional rural banks. The Commercial Banks include both scheduled and non scheduled Commercial banks. The object of the Scheme as to resolve complaints relating to banking services, to facilitate settlement of such complaints. A Banking Ombudsman has been appointed in all the major cities of the country. He has to look into all complaints concerning deficiency in service to the customers and includes failure and delay in the part of the bank to render services as also complaints concerning loans and advances in so far as they relate to non observance of R.B.I. directives.

A person who has grievance against a bank may make a complaint in writing to the Banking Ombudsman himself or through authorised representative. The complaint should contain all facts supported by documents. He has to state that the bank refused to reply to the representation or had rejected it. If it was rejected the complaint can be made before the Ombudsman within one year. The Ombudsman will call for information from the bank concerned. He shall first try to settle the complaint by agreement between the parties through conciliation or mediation. If a complaint is not settled within one month, the Banking Ombudsman will make his recommendation which may be accepted by the complainant. Where the complaint is not settled by agreement or recommendation within 2 months the Banking Ombudsman shall pass an award after giving the parties ppportunity to present their case. The award shall be binding on the bank after the complainant has accepted the same in full and final settlement.

Check Your Progress 2

Note : i) Use the space given below for your answers.

ii) Check your answers with the model answers given at the end of this unit.

1) What tasks following institutions perform ?

   i) State Financial Corporation

   ii) National Housing Bank

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2) What are the Remedies available for customer's grievances relating to Banks?

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12.4 ACTS RELATING TO INSURANCE

12.4.1 Insurance Act, 1938

This Act was passed to consolidate and amend the law relating to business of insurance. Under this Act 'insurer' means any individual(s) or body corporate which carries on insurance business having principal place of business in India. 'Insurance agent' means an insurance agent licensed under the Act. Fire insurance business means contracts of insurance against loss by or incidental to fire. General business insurance means fire, marine or miscellaneous business insurance. 'Life insurance business' means the business of effecting contracts of insurance upon human life. 'Marine insurance business' means the insurance upon vessels of any description insured for any transit by land or water.

The Central Government appoints the Controller of Insurance as the authority under the Act. Insurance business can be carried on by a public company, a cooperative society or any other body corporate which is not a private company. For carrying on insurance business a certificate of registration has to be obtained from the Controller of Insurance. The provisions of the Act lay down requirements as to capital, voting rights and maintenance of registers by insurance companies, provision of deposits with the Reserve Bank of India, accounts, audit, auditorial report, register of policies and claims, submission of reports to the controller, investment of assets, loans and management. There are other provisions relating to assignments and transfer of insurance policies, nomination by policy holder, commission and rebates and licensing of agents.

12.4.2 Life Insurance Corporation Act, 1956

This Act was passed to provide for the nationalisation of life insurance business in India by transferring all such business to a corporation established for the purpose and to provide for the regulation and control of the business of the Corporation. The policies issued by the LIC are guaranteed by the Central Government including any bonus declared by it. Many provisions of the Insurance Act, 1938 applies to the LIC as also its agents.

12.4.3 The General Insurance Business (Nationalisation) Act, 1972

This Act was passed to set up the General Insurance Corporation of India as a Company for the purpose of superintending, controlling and carrying on the business of general insurance. The General Insurance Corporation has set up subsidiaries. The provisions of the Insurance Act, 1938 shall apply to the GIC. The Act also provided for the acquisition and transfer of shares of Indian Insurance Companies and undertakings of existing insurers to ensure a balance in the operation of the economic system.

12.4.4 Public Liability Insurance Act, 1991

This Act was passed to introduce compulsory insurance where hazardous substances were being handled so that those who suffer loss and injury may be compensated.

12.4.5 The Insurance Regulatory Authority Bill, 1998

This Bill was introduced in the Lok Sabha on 7.12.98 to provide for the establishment of an authority to protect the interest of holders of insurance policies and to regulate, promote and ensure orderly growth of the insurance industry. It also seeks to amend the Insurance Act, 1938, the LIC Act, 1956 and the General Insurance Business (Nationalisation) Act, 1972. The object is to enhance the importance of Controller of Insurance, setting up of a strong and effective Insurance regulatory authority, to permit entry of private Indian Companies into the insurance sector and to give statutory status to the Interim Insurance Regulatory Authority which had been set up by Government resolution.

Check Your Progress 3

Note : i) Use the space given below for your answers.

ii) Check your answers with the model answers given at the end of this unit.

1) What are the major legislations relating to the business of Insurance?

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2) Why does Financial Services sector needs remedial mechanisms for customers within the sector?

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12.5 LET US SUM UP

As you would have gone through the above unit, you would have seen the spectrum of Banks and Financial Institutions that are in existence in the country. As a result of consumer awareness, most of these banks and institutions have set up "Customer Grievance Cells" which entertain and resolve the customer's disputes and grievances. Just as the Reserve Bank has set up the Banking Ombudsman for the banking sector, voices have been raised for having an Ombudsman for the Insurance sector also. In the financial services sector the consumer takes his grievances to the Consumer Courts.

12.6 SOME USEFUL BOOKS

Gulshan, S.S. *Consumer Protection and Satisfaction* (1998), New Age Publishers, New Delhi.

Government of India : Relevant Bare Acts.

12.7 ANSWERS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

1) Trade or interest in any commercial industrial or other undertaking, purchase of shares of any other bank or company.

2) See Sub-sec. 12.3.2

Check Your Progress 2

1) i) Guaranteeing loans, underwriting issues of shares, subscribing to shares, acting as agent of central or

   ii) Provide financial assistance to exporters and importers, promote India's international trade.

   iii) Promote housing finance institutions

2) See Sub-sec. 12.4.12

Check Your Progress 3

1) See sec. 12.5

2) See sec. 12.6.